Block-3

Marketing Mix Strategies

BLOCK 3 MARKETING MIX STRATEGIES

Unit 8, "Product and Service Decisions", exposes you to the product and service adoption behaviour in rural markets and discusses the implications of such adoption and acquisition for marketers, as well as the menace of spurious products in rural markets, to enable you to understand the various aspects of marketing strategy in rural markets. There are a series of adaptations and product modifications that the rural marketer may have to make to ensure success in rural markets. For services, the demand from the rural market has been growing at healthy rates, fuelled by rising income levels and supported by government policies.

Unit 9, "Pricing Decisions", discusses in detail quality and price issues, promotional pricing, the interdependence of distribution and pricing, as well as rural pricing strategies. In view of the prevailing socioeconomic and resource profile of the rural consumer, pricing is among the most critical decisions in the rural marketing strategy. While the basic determinants of pricing, i.e., costs, competition, and consumers' capacity to pay, remain valid, the wide variation in these variables makes pricing a difficult decision for the rural marketer. The impact of factors like the volatility of rural earnings and the seasonality of demand has also been discussed.

Unit 10, "Integrated Marketing Communications (IMC) for Rural Markets", explains the use and application of IMC for rural audiences and the challenges that confront rural marketers in this regard. In the context of marketing communication, what works well in urban markets may not work in rural markets. This entails a different Integrated Marketing Communications (IMC) approach for the rural markets in India, using a judicious mix of both conventional and unconventional media.

Unit 11, "Case Study," explains the need and rationale for the company to make a bid for the rural market. The unit discusses "Steering Market Growth Through Rural Markets: A Case Study of Maruti Suzuki". In order to build a rural marketing mix strategy, further examination of rural marketing initiatives, including segmentation, promotion, and distribution strategies used by Maruti in the rural markets, is reviewed.

UNIT 8 PRODUCT AND SERVICE DECISIONS FOR RURAL MARKETS

Learning Outcomes

After going through this unit, you should be able:

- explain the diversity of product purchase behaviour in rural markets
- comment upon product acquisition trends in rural markets
- discuss the product adoption in the context of rural consumers
- distinguish between the various adopter categories
- explain important considerations in brandingdecisions for rural markets
- apply the understanding h of packaging decisions in the context of rural India
- comment upon appropriate product and service strategies for rural markets
- assess the problem of spurious products in rural markets and devise strategies to address the same

Structure

8.1 INTRODUCTION

Products and services are at the heart of a marketing programme designed to create value for the consumer, rural consumers included. Many companies traditionally have treated rural markets as segments for their lower end products and relatively basic services. Rising rural incomes and aspirations of consumers coupled with the fact thatnow in majority of the productcategories, the rural market accounts for more than 60% of market share, has changed the outlook for marketers in that the rural markets in size and scope can no longer be viewed as an extension of the lower end urban market. Marketers with a strategic growth focus have realised the need for developing rural specific products and services that will satisfy the unique expectations of rural customers.

Rural customers want product of quality; however, the parameters of quality differ from one region toanother region. Likewise, their services related aspirations have been transformed on account of availability of alternatives, exposure and access, supported by technology.

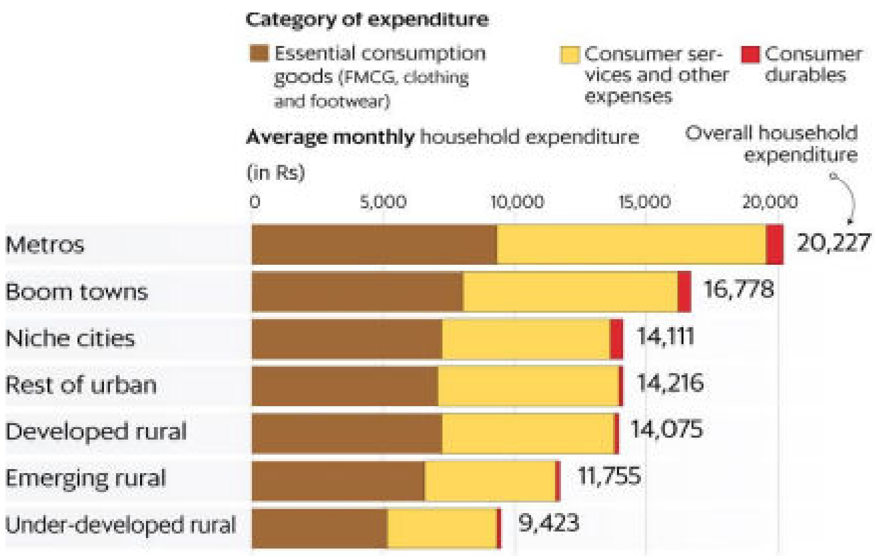
8.2 PRODUCT DECISIONS AND THE DIVERSITY OF INDIAN RURAL MARKETS

The Indian rural market is not one homogeneous structure. A firm has to segment the market and decide the specific customer groups that it wants to focus on. At the top end of the rural market, we have customers with high disposable income such as the big farmers, trading community and the government officials. The proportion of this segment varies from state to state. In some of the prosperous states like Maharashtra, Gujarat, western parts of U.P, Punjab, Haryana, Tamilnadu and Andhra Pradesh this segment is significant. A recent study shows that only five states such as Maharashtra, U.P, West Bengal, Tamilnadu and Andhra Pradesh together account for nearly half of the aggregate domestic product of the Indian states. In addition, as studied by you in Units 2 and 3 of this course, the socio cultural environment in villages across the state varies widely, creating marketing implications for commodities, food, spices and for marketing communication on account of differing languages and media habits.

The per capita income of different states indicates the heterogeneity of the market.The per capita income in real terms (at 2011-12 prices) during 2020-21 is estimated at Rs. 86,659 as per IMF Economic outlook April 2021. In well off states like Gujarat, Goa, Punjab and Maharashtra the per capita could range between 1.5 to 3.5 Lakhs, whereas in poorer states it is lessthan Rs.46000. (*www.rbi.org.in*. Retrieved 2 June 2022). This variation in disposable income needs to be taken in to consideration while developing product market strategies. This unit seeks to build up on your exposure to the product management unit studied by you in your basic marketing course, Marketing for Managers (MMPC-006).

The data collected through the ICE survey in 2016 (Figure 8.1) shows the extent of expenditure across product and services for the rural and urban segments in India

Figure 8.1: Expenditure over Product and Service Categories



Rural consumption, can be studied with respect to 'the following classification: Fast moving consumer goods, Consumer durables, services and agricultural goods. Aggregate household expenditure on essential consumption goods (including fast moving consumer goods, clothing, and footwear) was Rs 22 trillion, of which rural India's share was 59%, the survey shows. Urban India's share in the aggregate spending on consumer durables was higher than that of rural India at 52%.

Fast Moving Consumer Goods

It is interesting to note that Rural markets now account for more than 50% of the FMCG consumption in India. The market size for these products reached $ 110 Billion in 2020 (Statistica 2022) The penetration of products like edible oil, detergents, tea and biscuits is around 75% while that for products like toilet cleaners, coffee, instant noodles ketchup and jams remains under 15%. This represents an area of opportunity for marketers

According to data on household consumption expenditure, by Statistica, rural India is allocating almost 10% of the monthly household budget for fuel and lighting, while an average urban household spends 9% under this head.

Consumer Durables

With rising income and impact of growing urbanization, the acquisition and use of a wider range of consumer durables is increasing steadily in the rural markets. The Census 2011 data clearly demonstrates that Rural markets constitute a sizeable share of the durablesmarket, but one which varies across categories

Rural people prefer to buy durable goods that are repairable, reusable and can be used for multiple purposes. This expectation offers a real challenge for manufactures. Maruti Omni vehicle is one such product that is popular in rural areas, as it can be used for multiple purposes

Companies like Maruti Suzuki have consistently looked for the rising opportunity in the rural markers in India. Maruti has constantly fine-tuned its rural strategy. In 2007-2008, it started at the Gram Panchayat level, reaching out to 25,00,000 council members trying to sell four-wheelers. The following year, it shifted focus at the tehsil (group of villages) level by channelizing sales efforts here. Prosperous Farmers, Rural School teachers were among the many potential consumer segments identified by the company. More than 350 niche segments were identified by the company. Turmeric Farmers in Erode, Rig Owners in Tiruchengodu, Tea Planters in West Bengal, Cotton Farmers in Gujarat, Apple Growers in Himachal Pradesh and Kashmir are examples of some of the niche segments identified by the company. This segmentation framework helped Maruti's Rural marketing team tailor their efforts and channel their marketing investments toward the most promising prospective consumers.

8.3 THE EMERGING RURAL CONSUMPTION PROFILE FOR PRODUCTS AND SERVICES

Rural households collectively outspent their urban counterparts over thepast few years, according to data from a nationally representative consumer survey in 2016. Aggregate household expenditure in India 2015-16 was Rs. 42.2 trillion. Rural households accounted for 57% of the aggregate spending while urban ones accounted for 43%, ('Household Survey on India's Citizen Environment & Consumer Economy' (ICE 360° survey)

Table 8.1: Penetration of Products in Rural and Urban Households

Name of Assets	Rural households	Urban households	Rural %	Urban%	% of Total households
Radio/Transistor	29,057,003	19,959,592	17.3	25.3	19.9
Television	56,005,607	19,959,592	33.4	76.7	47.2
Computer/Laptop-with internet	1,189,627	6,518,894	0.7	8.3	3.1
Computer/Laptop-without internet	7,453,608	8,200,717	4.4	10.4	6.3
Telephone	91,213,611	64,667,238	53.3	82.0	62.3
Telephone-Landline only	5,245,232	4,674,409	3.1	5.9	4.0
Telephone-Mobile only	80,465,674	50,736,347	47.9	64.3	53.2
Telephone -Both	5,502,705	9,256,482	3.3	11.7	6.0
Bicycle	77,487,664	33,079,769	46.2	41.9	44.8
Scooter/ Motorcycle/Moped	24,073,045	27,789,197	14.3	35.2	21.0
Car/Jeep/Van	3,785,355	7,688,232	2.3	9.7	4.7

Source: Census 2011

The NCAER data (Table 8.1 and Table 8.2) shows the differing penetration of different categories of consumer durables in Rural Markets, indicated by the percentage share of different consumer durables which again indicates growth opportunitiesfor the cases where there is still a low penetration

Table 8.2 : Penetration of Different Categories of Consumer Durables

(2009-10)

Products	Rural area	Urban area
Car	4.56%	95.44%
Motorcycle	35.97%	54.03%
Scooter	17.56%	82.44%
Moped	28.32%	71.68
B & W TV (Small)	47.79%	52.21%
B & W TV (Regular)	40.63%	59.37%
Color TV (Small)	18.76%	81.24%
Color TV (Regular)	19.25%	80.75%
VCR/VCP	5.48%	94.52%
Refrigerators	11.34%	88.66%
Air Conditioner	1.49%	98.51%
Washing Mashing	6.87%	93.13%
Vacuum Cleaner	1.48%	98.52%
Pressure Cooker	25.56%	74.44%
Transistors	54.89%	45.11%
Wrist Watches	32.83%	67.17%
Electric Irons	23.10%	76.90%
Table Fans	40.36%	59.64%
Ceiling Fans	27.13%	72.87%
Bicycle	58.07%	41.93%

As a marketing learner, you will recognise that any consumer durables that are relevant to rural needs but have a penetration level lower than 20% represent pockets of emerging opportunity for durables marketers. This is especially true of categories like refrigerators, washing machines, colour TVs and four wheelers, where the urban markets show a situation of mature markets or markets nearing saturation, so the rural markets could present an opportunity of extending the Product life cycles.

Activity1

Analyse the data shared on rural consumption of FMCG and Consumer durables What are the implementations of the shifting purchase trends for the marketers of

1. Motorcycles
2. Mobile Phones
3. Colour Television Sets

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8.4 PRODUCT ADOPTION PROCESS

Marketers are keenly interested in understanding the process of adoption of a production a new market. The theory of diffusion developed by E.M. Rogers addresses thisvital issue. Rogers carried out extensive research in the late fifties and 1960's to examine the acceptance of new agricultural innovations amongst the rural farming community in U.S. The major findings of this study later held good when similar studies were carried out for other product categories in different countries.

The Rate of Adoption

The rate of adoption is the relative speed with which members of a social system adopt an innovation. It is measured as the number of individuals who adopt a newidea in a specific period such as a year. The perceived attributes of innovation are one important explanation of the rate of adoption. The five major attributes that have direct influence on the rate of adoption are:

1. Relative advantage
2. Compatibility
3. Complexity
4. Trialability
5. Observability

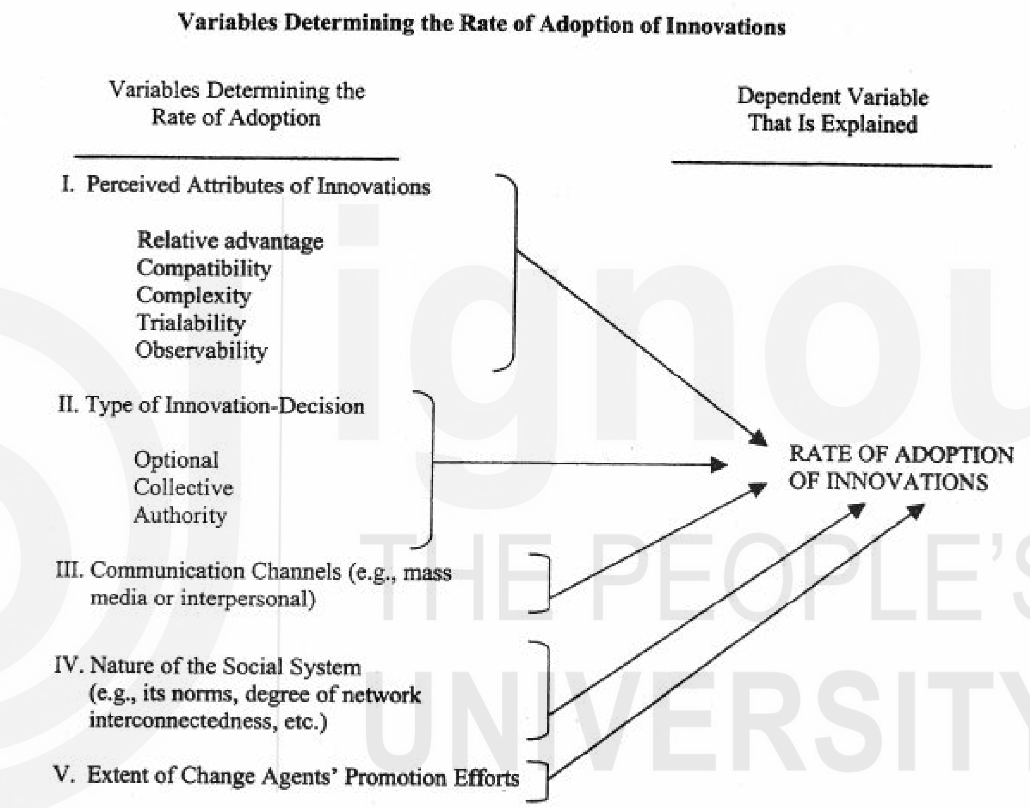
Besides these other variables such as (1) the type of innovation decision, (2) the nature of communication channels (3) the nature of the social system (4) the extent of change agents' promotion efforts, affect the rate of adoption

Marketers in India will need to be conscious of the emerging consumer behaviour trends in rural markets. You have received a comprehensive exposure to Rural Consumer Behaviour in Unit 5 of this course as well as to Rural Environment in Units 2 and 3. We will in this Unit use your exposure to these units to discuss inputs on product and service decisions for the rural market.

A new product launched in rural areas will have a faster acceptance if it scores high on each of these perceived attributes of innovation. The rural customers primarily want functional utility, thus the products with higher performance to price ratio will have a faster acceptance. Rural consumers prefer to buy durable goods that are reasonably priced, repairable, reusable and can be used for multiple purposes. This expectation offers a real challenge for manufactures. Maruti Omni vehicle is one such product that is popular in rural areas, as it can be used for multiple purposes

Compatibility has several dimensions such as social, cultural and technical compatibility. Certain income generation activities, though highly profitable would not find favour with rural customers if they are not compatible with the cultural religious values. Please refer to figure 8.2.

Figure 8.2 : Variables Determining the Rate of Adoption of Innovations



Observability enhances the rate of adoption of the product. When the potential customers see for themselves the performance of any new gadget or some new hybrid seeds in a demonstration plot, they get convinced easily and if they have further queries, they can check out with their peers with less effort.

New portable gensets, when carried to the fields and demonstrated, lower the purchase barriers on account of observable advantage and can be adopted faster. Likewise, moderately priced mobile phones with demonstrable features are adopted faster

Innovation resistance exists across product classes. Innovation resistance affects the timing of adoption The two basic causes of resistance are: the degree of change or discontinuity brought about by the innovation and the extent to which it conflicts with the consumer's belief structure. The products that can be tried out without much of an effort will have a competitive edge over other products that are difficult fortrial. Companies dealing with agricultural equipment, fertilizer, pesticide, hybrid seeds etc.have benefited by adopting sampling and demonstration in rural areas.

Distribution of free samples compresses the long cycle of awareness to adoption. Hindustan Unilever Ltd experimented with the various modes of introducing new products into rural household while fine-tuning "Project Bharat". They bundled small unit packs of four different product categories such as Sunsilk shampoo, Pepsodent toothpaste, Fair and Lovely cream and Ponds talcum powder. The cost of this bundled pack to the company was Rs.25. It did experimental research in the district of Kolhapur, Maharashtra to find out the relative buyer interest to purchase at different price levels of Rs.5, Rs.10, Rs.15, Rs.20, and Rs.25. Finally, a trade-off between cost and trial was made and the company decided the promotional pricing to be Rs. 15 per pack. The post experimental survey showed that about 33% of the sample households went for repeat purchases of at least one of the four bundled items.This demonstrates the power of promotional pricing and product familiarization through sampling, in converting the non-usersegment into regular users. In 2001, HUL further extended the reach and access for its products by launching Project Shakti, the project equips and trains rural women, enabling them to become an extended arm of the company's operations, in turn, this helps the women generate critically needed additional income for their families through promoting and selling of HUL products in villages with population of 2000 or less. While the women through this self-help group-based initiative significantly improved their economic well-being the company extended its reach to highly dispersed rural populations

Trainability refers to the ease with which a new product can be tried on with low risk, in terms of price or effort. The use of sachet packaging of shampoo, went a long way in lowering the adoption barrier among rural consumers. Similarly, the test drive feature offered by two-wheeler and four-wheeler dealers, by enabling trial lower the risk associated with buying and help the buyer with the adoption decision.

Activity 2

Consider the following products which are being newly targeted to the rural market. Evaluate them on the adoption criteria just studied by you and evaluate which of them has got the highest potential of getting accepted fast

1. Multiutility vehicles
2. Room coolers
3. Stain fighting detergents
4. Basic mobile phone handsets

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8.5 ADOPTER CATEGORIES AND PRODUCT LIFE CYCLE

Product life cycle analysis shows the stage of a particular product category in a specific market There are five different stages in the life cycle which are introduction, growth, shake out, maturity and decline. Each of these stages provides distinct opportunities and threats and hence affects the firm's strategy as well as the marketing programmes. A vast majority of durable products in rural markets are actually in the early growth to late growth stage while some may still be in the introductory stages. Newly developed fertilizers and seed variants are examples of new products which will present all challenges of the introductory stage for the marketers. Likewise, services like insurance and financial services like mutual fund investments are still in the introductory stage for a majority of rural markets Even several FMCG products are in the growth stage. PLC analysis is generally done by taking product class as the unit of analysis. However, if it is done for a category one has to wait for decades to draw inferences. Many marketers go for PLC analysis for other product levels, such as the product form and product brand. Product form analysis has great relevance for the rural markets of India. For example, if we take wrist watches as the unit of analysis, the PLC will be really long, stretching over decades and being still there in the growth stage. If product form is taken, such as quartz or mechanical watches, distinct preferences for each of the form can be noticed in the rural and urban areas. It is seen that the time taken by customers to graduate to the latest product form takes a very long time, stretching over decades. In the mosquito repellent category, the coexistence of different product forms can be seen. There are coils, mats, liquid and aerosol sprays. The rural markets still seem to be using coil and mats. Electrification and competitive pricing of the new variants may see some adoption of the newer form of the variants.. One agricultural pump manufacturer introduced energy efficient lighter pumps in rural areawas surprised by the continued preference of rural farmers for the bulky and heavy pump sets. Cost of energy could not become decisive criteria since in large parts of the rural India, especially for the agriculture sector power is available at subsidized rates

Greenlight planet is a case in point. The company has sold close to 3 million solar lamps across India, Africa and Central America. Thousands of village entrepreneurs who sell Sun King™ lights in their local communities have been key to this success. Trained and certified by Greenlight Planet as Sun King™ Business Associates (Saathis), they improve consumers' lives while boosting their own household income in villages.

Marketers have to examine acceptance level of different product forms in the different regions of the country (for example tooth powder vs toothpaste, detergent cake vs powder) and accordingly should design market entry strategies for different sub-markets. For many rural consumers, each purchase entails a significant investment, so they want to carefully weigh all the parameters before making a final decision. Validation is a critical stage in their purchase journey, because consumers seek input from trusted family members and friends as well as other influencers. It has been observed through findings of the Mckinsey report that positive word of mouth goes a long way in creating this validation and the consumers must engage with the right kind of influencers at the right time in the product adoption process. You will study these issues in greater detail in Unit 10 of this course, which deals with integrated marketing communication.

Activity 3

It is felt that some products that are in the late growth or maturity stage in the urban markets in India, may qualify for early or late adoption category in the rural markets. Identify any four such products on the basis of your understanding of the concepts studied in this unit and the earlier units and suggest appropriate ways to promote their adoption

Product 1

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Product 2

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Product 3

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Product 4

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8.6 BRANDING DECISIONS

A look into the extant literature shows that rural customers in the 90s were not specifically or consciously brand loyal. The present market data shows clearly that it is no longer so. Many of the recent empirical studies reveal that a rural customer is particular about the brand he/she wants and cannot be easily persuaded to buy anything just because it is so advised by the retailers. The increased exposure to television, and mobile based media has resulted in the rural customer getting direct information and life style cues from the advertisements. A study by Accenture showed that in 2014, 71 percent of their survey respondents claimed to have purchased branded products and, 59 percent of consumers said they bought brands because they stand for quality and trustworthiness.Nearly 42 percent of the respondents indicated product upgrading as a reason for spending more in a category. These consumers' findings dispel the notion that rural consumers care most about getting the lowest possible price and will settle for sub-standard offerings to get the best deal

In the early 80s, Nirma could establish itself as a popular brand through consistent advertising. Today there is lot of advertisement clutter and audience fragmentation. In this context, marketers have to pay greater attention in selecting the brand elements to cut through the clutter. The different brand elements that the rural marketers should pay attention to are

1. Brand Name
2. Logo/Symbol
3. Brand Character
4. Slogan/one-liner tag line
5. Jingle
6. Packaging

Brand name is one of the most important components of the brand. All the investments that are made to enhance awareness and developing the right associations get linked to this name, which finally acts as an anchor. Therefore, selection of the right name assumes importance, given the fact there is a high level of diversity among the rural pockets of different regions.

Among the different brand elements, the logo or symbol has a special role in building brands in the rural markets. In India, there are 16 official languages and more than 460 dialects. However, a well-conceived logo can mean the same thing to diverse groups of customers. MRF Tyre's "Muscular Man Lifts the Tyre" would connote the same meaning to people in different regions. Thus, the logo is able to transcend the geographic and linguistic barriers. The LIC logo, Mahindra and Mahindra distinctive logo make for easy recognition and recall of these brands among the rural audience. Comparatively high levels of illiteracy in rural areas also propels people to use visual cases/pictures to identify brands. Brand characters can be used to add new levels of meaning and appeal to the brand. Amul's "Utterly butterly girl", Gujarat Ambuja's "Giant Like Man", all have played important roles in developing right brand associations. Arvind Garments roped in Akshay Kumar to endorse Ruff &Tuff Jeans. The "infilm" brand personality of Akshay Kumar as a tough character helped the brands.

Jingle or musicals can be associated with a brand and thereby giving potential buyers one more cue for easy retrieval from memory. Titan's signature tune, Amul's very popular song – "Amul doodh peeta hai India" and HUL's "Lifebuoy hai jahan…. made for easy and lasting brand recall as these are attempts to surround the brand with interesting and memorable cues.

Activity 4

Study the website of 2 consumer durables manufactures of your choice. Identify the product adaptation they have made for the rural market. Also study their growth product segment wise. What type of growth trends the lower end products show?

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8.7 PACKAGING DECISIONS

Packaging today is being used as an important marketing tool in addition to its role of protecting the main product during shipment and transportation. Its effective role in attracting the customers' attention at the point of purchase has led to its recognition as a "silent salesman". In rural markets a brand is most often identified on the basis of the packaging of the brand,primarily because of

1. Low literacy levels
2. Availability of few brands
3. Low exposure to other media vehicles

Packaging applications that have been used in rural markets include

Small Package Size: How small fractional packages have resulted in higher trial purchase and regular consumption has been discussed in the previous section. Marketers' have observed retailers cutting larger toilet soaps and detergent cakes into two pieces and selling them. (Joshi, 1991) It has showed them the utility of small SKUs (Stock Keeping Units) and Godrej using this information successfully marketed smaller sizes of its popular soap brands.

Packaging in reusable containers: The rural customer is very price sensitive and feels rewarded when the package can be put to some other use after the consumption of the main product. PET containers are being increasingly used as value added modes of packaging as are paint bucket containers. However, polypacks are used to drive costs to the lowest level.

Packaging Colour and Design: Package becomes a veritable identification tool and helps in brand selection and reinforcement process for rural markets where mass media reinforcement relatively of a lower order as compared to urban markets. Bright colours, bold labelling and recognizable logos, especially those that the consumers can readily identify with, are especially useful. The evocative colours of Brooke Bond Red Label tea, Nyle Shampoo, Colgate's red & white recognizable tooth paste, Lifebuoy's familiar package and Brittania's Tiger biscuit packs are the prominent examples which generated brand identification and recall partly on the basis of package colourand logo designs. Similarly, depiction of recognizable logos on the package are positive aids in brand recognition and recall. Successful examples are the Eveready Cat-o-nine lives, Gemini Tea with elephant as the logo, Tortoise mosquito coil etc. are widely understood symbols help the rural customers in making brand associations and generating recall.

Product modification decisions have direct implications on the cost structure and finally on pricing The major product modification strategies that focus on developing rural centric products at affordable prices have been discussed in section 8.9 ahead.

Activity 5

Carefully study the packaging modifications made by three companies for rural markets. Comment upon the major variations that you observer in size, colour and information given on the package.

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8.8 SERVICES IN THE RURAL MARKETS

In the last decade, probably the highest extent of development and change is observed in the availability and access to consumer services like telecom, internet services mostly through mobile telephony, education, financial services like banking and insurance and some development in health services, Repairs, transportation, banking credit, insurance, healthcare, education, communications, power, and other services are now more easily available

The aspirations of the rural consumers with respect to services are also changing. As per the Accenture Mastering Rural Marketing series "as incomes are rising, findings indicate the aspirations of the rural consumers are driven by a deep desire to provide their children with a better future through education and healthcare. They are strongly family-oriented and want to ensure that their children do not have to undergo the same hardships that they have experienced in their lives. About 50 percent of the survey respondents claimed that they plan to spend more on education of their children and healthcare of their family in coming years."

Financial Services

Two-thirds of India's population lives in rural areas where financial services have made few inroads so far. Rural India, however, has seen steady rise in incomes creating an increasingly significant market for financial services. There are several standalone networks of SHG, NGO's and MFIs in different parts of rural India. Cross-utilisation of these channels can facilitate faster penetration of a wider suite of financial services in rural India. You have already read about the financial inclusion status for Rural consumers in Unit 3 of this course. Please refer to Figure 3.17 and table 3.18 of that unit to recall. The following are important developments in financial services development in rural India

- Financial inclusion drive from the Reserve Bank of India (RBI) has expanded the target market to semi-urban and rural areas.
- The penetration of a wider suite of financial services in now observed across rural India.
- Increasing use of technology to reach rural India is the paradigm-shifting enabler. Internet kiosk-based channels are expected to become the bridge that connects rural India to financial services.
- A lot of government policy initiatives have resulted in a higher penetration of financial services like banking,insurance credit mobilization etc.

Credit, insurance and investment penetration is increasingly being observed in rural areas. HDFC Bank, a renowned private banking brand, has launched a financial services campaign called "Festive Treats." It was part of its marketing strategy to provide incentives to rural consumers.This further resulted in specific offers for rural residents on various financial products. It includes savings accounts, loans, and other deposits, among others.

In case of Axis bank, rural marketing team has designed comic strips about banking services for the rural consumer that are distributed across villages to boost awareness of its brand among potential new customers. The team has augmented the comics with skits conducted in local languages in public places across villages

As you have already studied in Unit 5 of this course, insurance companies have now entered rural markets in a big way. In 2019-2020, the life insurance companies underwrote 64.96 lakh policies, with 22.49 % of the new individual policies in the rural market. LIC alone underwrote 21.37%, and other private players took 26.02% of new individual policies in 2019-20 in the rural sector.

Policy initiatives like the PMJDY and PMSBY have resulted in widespread use of both banking and financial services (refer to Unit 5 table 5.14) to make financial inclusion a reality and the direct transfers of benefits /entitlements to beneficiary accounts have led to greater awareness of use of these services by the rural consumer, as well as resulted in access to higher disposable funds in their hands

Rural credit segment is a large market, which can be tapped by ensuring timely loans that are critical for the agricultural sector. Safe investment options have a potential to tap into rural household savings. Some private players are producing innovative products like third party money market mutual funds to cater to rural investment needs.

Agricultural, livestock and weather insurance are potentially large markets in rural Indian that require customised financial services products to be tailor made to suit the socioeconomic profile of the rural potential customers

Domestic sales of passenger vehicles, three-wheelers and two-wheelers, reached 3,069,499; 260,995 and 13,466,412 units respectively, in FY22 which indicated that increasing number of insurances registered for passenger cars and for construction activities will rise with India's infrastructure growth plans for the rural segment.

Demand for agricultural and livestock insurance is growing on the back of rising awareness among rural population.

Micro Insurance, targetedat rural segment, micro insurance has the potential to address about two-thirds of Indian population.The policy incentives act as drivers for the growth of microinsurance sector.

A universal enabler of the spread of these services has been the access to internet. Currently, about 227 million rural people use the Internet, compared to about 205 million people in urban areas. However, this figure is projected to increase by a decent percentage in the coming few years.

The relatively lower financial service penetration of financial services like investment planning, home loans and bankingindicate pockets of opportunities in the rural segments that marketers now need to focus on.

Health Services

While on the whole, on account of the large population that inhabits rural India, health service access is still quite deficient, the situation has improved over the last decade. As per the Rural Health Statistics report of Ministry of Health, Govt on India, rural health infrastructure has shown significant improvement in access to health care services. As on 31st March 2021, there were 5481 Community Health Centres functional in rural areas of the country. At national level there is increase of 2135 number of CHCs from the year 2005. As per minimum norms a CHC is required to be manned by four medical specialists i.e., Surgeon, Physician, Obstetrician/ Gynaecologist and Paediatrician supported by paramedical and other staff. It has 30 in-door beds with one OT, X-ray, labour room and laboratory facilities. It serves as a referral centre for 4 PHCs and also provides facilities for obstetric care and specialist consultations. As on 31st March, 2021, there were 5481 of CHCs functioning in rural areas of the country. The status of state provided rural health care as on March 31 2021 was as shown by the following statistics (Table 8.3)

Table 8.3: Overview of the Rural Health care Infrastructure as per Ministry of Health and family Welfare Report (2021)

Coverage of Rural Health Infrastructure (As on 31st March, 2021)

- **Average rural population covered by health facility (based on the mid-year population as on 1st July 2021):**

Health Facility	Norm	Average rural population covered
Sub Centre	300 - 5000	5734
Primary Health Centre (PHC)	20000 - 30000	35602
Community Health Centre (CHC)	80000 - 120000	163298

- **Average rural area (Sq. Km) covered by:**

Sub Centre	19.78
Primary Health Centre (PHC)	122.84
Community Health Centre (CHC)	563.42

- **Average radial distance (Km) covered) by:**

Sub Centre	2.51
Primary Health Centre (PHC)	6.25
Community Health Centre (CHC)	13.39

- **Average number of villages covered by:**

Sub Centre	4
Primary Health Centre (PHC)	26
Community Health Centre (CHC)	121

Rural Population (mid-year population 2021, as on 1st July 2021) covered by a:		
HW (F) (at Sub Centres & PHCs)		4166
HW (M + F) at Sub Centres		3768
Ratio of HA (M + F) at PHCs to HW (M + F) at Sub Centres	Rural Area	Tribal Area
	1:19	1:15

MoHFW have made use of social media platforms, IVRS based platforms, TV, Radio, and other mass media in disseminating information regarding COVID-19 in rural areas.

India's new Health Policy 2017, the first issued in 14 years, takes a sharp turn toward embracing the private sector in its aim to achieve universal health coverage. In addition, the private players , seeing the opportunity in penetrating rural markets are setting up satellite health care units in villages near their urban health care facilities as well as mobile heath care vans with essential services

Despite these large-scale initiatives;

- Rural communities in India suffer from a significant lack of access to healthcare. This lack of access results in high rates of maternal mortality, infant mortality, and malnutrition, as well as low life expectancy and low vaccination rates.

- This poor access to healthcare leads to a strong economic burden on the rural poor, and public spending and insurance companies need to significantly improve initiatives to mitigate the existing situation
- This lack of access includes a severe shortage of qualified medical personnel, physical limitations such as distance, lack of adequate healthcare infrastructure, and inability to pay for necessary medical treatment.

This situation points to a market opportunity for public private partnerships and for low-cost medical services' extension by contiguous urban centres as is now being supported by thehealth policy 2017.

Education Services

Please refer to the data and statistics shared in unit 2 of this course on the education services infrastructure in Rural India. While literacy levels for men and women have improved to 64.7% and 58.4 % respectively and the school density has improved with 85% of primary schools now in rural locations, the problem of rural engagement with education remains to be that of prevention of high rates of dropouts at secondary school levels and consistent availability of trained teachers. As per the NSSO round 2017 -18, the percentage of rural children with Secondary level and above education shows a rise to about 30%, the figure points out at the extent of effort needed in coming years if India is to attain the projected rates of gross enrollment ratios at various levels of education.

Education as a variable has significant impact on uptake of services like banking, investment, insurance and healthcare, besides influencing adoption of new products, evaluation of product and brand alternatives and in general awareness and utilization of policy initiatives as well as income generation and entrepreneurship opportunities in the rural segment. It is strongly felt that creating widespread opportunities for education in the rural segments can also create opportunities for more sustainable living in these regions as well as excite rural youth about the entrepreneurship opportunities within the rural areas in both farm and non-farm sectors.

Telecommunication Services

The telecommunication subscriber base India has been steadily growing, rural telephone subscription increased from 525.92 million at the end of Dec-20 to 537.42 million at the end of March-21 and Rural Tele-density also increased from 59.05% to 60.27% at the end of the quarter.

Table 8.4 : Telecom Services in India

Quarter ending	Subscriber Base (million)		Tele-density (%)	
	Rural	Urban	Rural	Urban
Mar-20	521.51	656.46	58.79	142.31
Jun-20	523.69	636.83	58.96	137.35
Sep-20	524.39	644.26	58.96	138.25
Dec-20	525.92	647.91	59.05	138.34
Mar-21	537.42	663.77	60.27	141.03

The Smartphone penetration in rural India saw a surprising change from 2018 to 2021. This was due to the adaptability of 4G services because of the reduction in internet service prices in the Indian economy, Lockdown and online classes led to an increase in demand for the mobile phone in urban and rural areas. With the parent's education level, the likelihood of providing a mobile phone to their children is higher. This is because literate parents understood the need of their children and try to invest in their education

The high incidence of smartphone usage also brought about a surge in the internet use by rural consumers with 58%of all internet users in India coming from the rural segment and 42% of all users in rural segment being female users.This access to internet has important applications for marketers in creating avenues for building awareness for new products, efficient customisation of marketing communication to the sensibilities of target rural consumers and building up real time knowledge through data analytics of internet usage

Table 8.5: Smartphone Usage in Rural India: ASER 2021 study

Parents' education	ASER 2021	
	At least one smartphone available at home	Bought a new smartphone for children's education since March 2020
Low	52.0	26.8
Medium	66.1	27.3
High	81.8	29.3
All	67.7	27.9

8.9 MARKET AND PRODUCT STRATEGIES FOR RURAL MARKET AND PRODUCT MODIFICATION DECISIONS

The core product designed has to be sensitive to rural realities.Product and pricing strategies are closely related and it is more so for the rural markets.There are some basic differences between markets in rural India and in the industrialized nations of theworld. Marketing companies in India operating in the rural market should work to remove entry barriers by first familiarizing themselves completely and build good relationships with retailers so that new entrants are less likely to challenge their position. Given below are some of the product and service strategies relevant for rural markets:

A. Utility Oriented Products: The basic driver of the product purchase for the ruralcustomers is the functional utility rather than rich features and sophistication. By doing away with the frills, if the cost can be reduced substantially, the product will have a higher chance of succeeding in Rural India. Philips India Ltd introduced low-cost medium receiver sets named Bahadur, which was hugely successful in rural areas. Basic mobile phones, Bank accounts with no minimum balance requirement are other examples of utility orientation for the rural markets

B. Sturdy Products: The products designed for rural markets should be sturdy enough to withstand rough handling and the rigors of transportation. TI CyclesLimited, Chennai; the makers of Hercules and BSA brands have identified the specific purposes for which the cycles are used. The company methodically went about mapping the consumption chain. Here the first step was to map the customer's entire user experience with the product. Farmers use cycles to carry bags of paddy, cement, fertilizer and some surplus, which they take to the Haats or Mandis. Accordingly, the company developed cycles with strong carriers and better frames. With this approach they could increase their market share in the southern states of Tamilnadu, Andhra Pradesh and Karnataka.

Philips adopted this strategy and made their radio heavier and louder for the rural markets. It is not enough to design products of good quality, but to undertake certain initiatives to manage perceived quality as well as the utility valuation.

C. Value Engineering: This approach is used to develop cheaper products by substituting certain costly raw materials. Britannia Industries Limited deployed this technique to develop a cheaper Glucose biscuit for the rural market. The new product "Tiger" was introduced in the small towns and rural markets. The company withdrew the previous brands such as Circus and Glucose-D meant for the lower segments and introduced a new brand "Tiger". It was launched at Rs.3.50 per pack. This product did exceptionally well in the rural markets and could reach the Rs. 100 croremark within ayear.

Asian Paints, the largest paint-manufacturing firm in the domestic market category, realized the potential of a cheaper distemper for rural markets. It understood that in vast majority of rural areas, people go for white washing at least once a year primarily as a ritual preceding the major festivals of the region.With low disposable incomes, they have to settle for the cheaper modes of white washing that are not of decent quality. This prompted Asian Paints to introduce the "Utsav" range of low-priced coloured distempers. This low-priced brand got a very enthusiastic response from the rural market

Nirma that offered a value for money detergent powder at the lower end of the price quality spectrum could increase its penetration into rural households and today it is Rs. 1500 crore brand. Before Nirma, the lower end of the market was dominated by several unorganized players.

Many companies such as Ghadi detergent, Anchor Toothpaste, NewPort, Ruf&Tuf jeans from the house of Arvind Garments have used this technique to tap the potential at the lower ends of the market.

This does not mean that only cheap brands or the models in the lowest end of aproduct-line sell in rural markets. Usha found that in rural markets some of its premier brands like Usha Century are doing better though it is priced 20 per cent higher than the economy models.(Das Gupta and Menon, 1990) Philips also had similar experience with regard to its radio product category.

D. Low unit packings (LUPs): The small packs have a better chance of gaining acceptance because of their affordability. Majority of the small and marginal farmers/ daily wage labourers do not buy consumables that would last for more than a week. In case of certain products like tea and biscuits; they buy on a daily basis. Marketers have understood the role of LUPs in driving penetration. Brooke Bond decades back launched a 5 paisa pack, Vicks- 5 tin was available at 50 paise. In the early 1980s, Velvette revolutionized the small pack concept throughits sachets. Shampoo was seen as a new and novel product by a vast majority of rural Indians, though the product category had been available in the urban market for a couple of decades. It was only available in 75ml and 100ml bottles and the pricewas in the range of Rs.35 to Rs.50; which was a great barrier. People were even skeptical about the efficacy of this new hair care product. By making it availableat Rs. 1/-, per sachet, customers who were in two minds got a chance to try out the productand it gained faster acceptance. Today 60% of shampoo sales come from sachets and 70% of sachet sales come from rural markets. Small unit packs, being priced low induce high level soft rial purchase. Pepsi had launched chhota Pepsi at Rs.5/-.

Coke had followed suit with its “Mini Coke” in the rural markets. Recently both the companies have reduced prices of their bottles from Rs. 10/- to Rs. 7/- to increase volume. Godrej around 2014 introduced Rs 5 mini packages(50gms) of 3 of its popular brands Cinthol, Fairglow and Godrej. Today marketers of different FMCGs have gone for adopting small pack route to achieve greater penetration.

Rural credit segment is a large market, which can be tapped by ensuring timely loans that are critical for the agricultural sector. Self Help Groups and NGOs are useful vehicles to make inroads into rural India. Agricultural, livestock and weather insurance are potentially large markets in rural India. Harnessing existing networks of MFIs and NGOs can speed up the process of adoption of such services in rural India.

Prof. C.K. Prahalad in his book, Fortune at the bottom of the Pyramid, elaborates on the great opportunity and challenge before the Indian marketers of developing products and services for the lower economic strata in India, which is a very large and underserved market. The main challenge is to deploy technology to come out with rural centric products that would be able to create a new-consuming class out of the poor people. Low price and functional value being the driving forces, this new category of products would be able to offer higher value than the ones’ currently available in rural markets. Firms have the opportunity to go for the real Indian mass markets that want good quality at lower price points, well designed and packaged, branded and well-advertised. This focus on low, price-quality business model can later help the Indian firms to tap similar price sensitive markets of African and Latin American markets. Now Unilever has initiated aproject to tap the lower ends of the Latin American market with the low-cost solutions developed by Hindustan Lever.

8.10 MENACE OF SPURIOUS PRODUCTS

Marketers of many consumable goods have to encounter the menace of the emergence of a number of fake or spurious products. As soon as a brand becomes popular in rural areas, at least 117-150 imitations or spurious products flood the market. Since a large section of the rural buyers are not brand aware and they identify products by their logo and colour scheme of the packs, these unscrupulous products exploit the rural buyers’ weakness by flooding the market with look a like. These spurious products are of two types:

1. Complete imitation of brand name and packaging
2. Part imitation of the brand name: They copy the packaging, colour scheme design but alter one or two alphabets in the brand name. Nirma gets imitated as Neerma, Nirman etc.

A 2014 detailed study of rural consumers and retailers in India showcased that as many as 35% of the consumers do not read the information on the FMCG package, and only about 32% asked for brands by name.While 51% recognized Brands through colours, and 48% through the brand Logos, pictures or trademarks as many as 55 % asked for MRP to make product decisions. The study also showed that while the spread of education is making an impact on identification of spurious products by consumers, there is a still asignificant influence of spurious products and repetitive purchase pattern of spurious products. As many as 41.9% of the rural retailers studied, indicated thatrural consumers frequently purchase spurious products, As many as 39.1% of rural retail respondents believed that there is no harm in using the spurious products, 25% are not aware of any harmfulness by using the spurious products, The spurious products damage the brand reputation, create public health hazards Since that study in 2014, the brand awareness and consumer education have significantly improved , however, the above study is indicative of the widespread menace of spurious products.

In all these cases, unscrupulous manufacturers pass on a product far below in quality and priced about half ofthe original brand. These fake counterfeit products create havoc in rural markets. The early users of the product discover the poor quality and in turn lose faith in the ‘genuine brand. Thus, the promotional investments of real brands get blunted to some extent. The manufacturers of fake products offer higher margins to both wholesalersandretailers and in many cases it is100-200 per cent higher than that for the original products.

Marketers have recognized the deleterious impact of a large number of fakes and have initiated certain steps to tackle the problem of counterfeits and pass-off products. The Brand Protection Committee (BPC),formed with representation of several corporate houses has urged the Government to do away with hindrances in the implementation of Trademarks Law.

The Brand Protection Committee (BPQ) with the assistance of law enforcement agencies, has been initiating raids, taking legal action, creating awareness in the market, to eradicate the problem of counterfeits and pass offs. According to a study conducted by AC Nielsen in 2013, the FMCG industry alone suffered an annual loss of Rs 2700 crores while the Government loses revenue to the tune of Rs 870 crore annually on account of counterfeit and pass-off products. According to current estimates according to a recent study (https://www.expresspharma.in/pharma-counter feiting-endangers-public-healthandeconomy/#:~:text=India’s%20 economy% 20suffers%20to%20 the,respect%20to%20providing%20quality) the Indian economy annually loses the tune of Rs 1 trillion every year due to this menace. The ramifications of the use and supply of dubious medicines and medical devices have harmful health effects and deter the achievement of sustainable development goals with respect to providing quality care.One study reveals that the States badly affected by counterfeits and pass-offs are Delhi, Punjab, Haryana, and Uttar Pradesh. The other affected states include Maharashtra, Gujarat, Madhya Pradesh, Andhra Pradesh, Tamil Nadu, West Bengal and Bihar.

Apart from the initiatives taken to crack down upon the spurious marketers, firms need to pay attention to packaging and communication. They can go for innovative and unique packaging design making it difficult for small players to copy, Usage of holograms on the packs and communicating effectively to enable consumers to distinguish the real brand from fakes need tobe undertaken. Companies can organize contests in haats and big villages to distinguish the original products from the counterfeits. This way the villagers' sensitivity on this issue can be heightened, benefiting both the marketers and thecustomers

8.11 SUMMARY

Product and services form the key dements of the marketing mix and occupy a central position in marketing strategy decisions. Product decisions have to be adapted to the socio economic and usage pattern profile of a given market before a decision to launch the product in a specific market is made. Rural markets with their significantly differing purchase patterns and buyer aspirations, as well as differential paying capacities present a unique market scenario. Their regionwise heterogeneity also makes the marketers' work more complex. There are a series of adaptations and product modifications that the rural marketer may have to make to ensure success in rural markets. For services,the demand from the rural market has been growing at healthy rates fuelled by rising income levels and supported by government policies. This unit tries to expose you to the product and service adoption behaviour in rural markets, discusses the implications of such adoption and acquisition for marketers as well as the menace of spurious products in rural markets to enable you to understand the various aspects of marketing strategy in the rural markets.

8.12 SELF ASSESSMENT QUESTIONS

1. How has the acquisition pattern for products and services in rural markets changed over the years? Explain. What are the implications of such trends for marketers?

2. Explain the factors affecting rate of adoption of innovation in rural market. How would these apply to a service like life insurance, digital payment wallets or credit cards offered to the rural market?

3. Discuss the product and service strategies for the rural market. In view of the vast heterogeneity of the market, what would you suggest to a marketer of economy range of personal hygiene products, seeking to enter the rural market, in terms of his product strategy? How would your answer change if the product in question was an improved variety of grains/ seeds or a new lightweight tractor suitable for small holdings

4. Is product or service modification a better course of action than developing an offering specifically for the rural market? Critically analyse and support your answer with examples.

5. How would you, as a marketer, address the menace of spurious products proliferating in the rural markets? Suggest appropriate measures.

8.13 SUGGESTEDREADINGS

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UNIT 9 PRICING DECISIONS

Learning Outcomes

After going through this unit, you should be able to:

- discuss the importance of pricing for the rural markets.
- describe the pricing methods and strategies
- explain channel selection and pricing implication for rural markets
- assess the impact of promotional pricing
- explain competition and pricing
- design appropriate pricing strategies for rural markets

Structure

9.1 INTRODUCTION

We have already covered the basics of pricing and its importance in the Marketing Management Course (MMPC-006) as a part of the marketing mix elements. In this unit, we will expand on the pricing concepts you have already learned and discuss some concepts that are especially pertinent to understanding pricing decisions for the rural markets. Prices of branded goods cannot really vary widely across the rural-urban divide. The challenge is thus to develop product offerings in a size or package that is both affordable to the consumer and viable for the manufacturer, given the lower paying capacity of the rural Indian mass market. This unit discusses in detail quality and price issues, promotional pricing, the interdependence of distribution and pricing, as well as rural pricing strategies.

9.2 THE PRICE/QUALITY ISSUE

The rural market presents a marketing situation where the mass market has low paying capacity, though there are pockets of prosperity in most villages. The most basic issue that affects the pricing decision and consequently the product mix selection is the determination of the quality and price level acceptable to the rural consumer. Let us look at the nine quality-price strategies to enable you to identify the variety of options one can exercise while seeking to price products targeted at rural markets. The nine price-quality strategies are important to understand, as price is an important component of rural marketing efforts.

Table 9.1: Nine Price-Quality Strategies

	Price		
Product Quality	High	Medium	Low
High	Premium Strategy	High Value Strategy	Super Value Strategy
Medium	Overcharging Strategy	Medium Value Strategy	Good Value Strategy
Low	Rip-off Strategy	False Economy	Economy Strategy

Source: Marketing Management by Philip Kotler

Quality is always an issue that consumers look forward to in their quest to get the most value for their hard-earned money in rural markets. On the other hand, the prices have had to be flexible to the extent of the socio-economic class and therefore the paying capacity of the consumers. If the person is a prosperous farmer with enough land holdings and a steady income, possibly he will be seeking a return on value on a higher price. Alternatively, his counterpart, lower on the socio-economic scale will also seek value but on a lower price point.

The rural marketers have for long been thriving on the perception that only low-cost, low-quality products will survive, and if one refers to Table 9.1, the economy strategy has been the most preferred strategy of marketers. This is not the case in today's technologically connected world, as rural markets have seen environmental changes that have definitely had implications for the marketers. For example, telecom penetration, mobile usage, and TV viewership have gone up over the years. Hence, access to information has definitely been higher as compared to the past, and this has had an impact on the rural lifestyle too. You would have been exposed to various data that reflect current rural trends and practices in previous units. Most of the data has shown how the rural masses have moved up the value chain. From tooth powders to tooth pastes, electric bulbs to LED bulbs, black and white TV to colour TV, etc., these are all instances where there are not only brand switches but category switches too.

Added to this, the overall economic prosperity in the rural regions has increased the average consumer's purchasing power. It would, therefore, be unfair on the marketer's part to underestimate the potential of the rural market or even assume that the average spending levels of the rural regions will be low. In most cases, the stripped-down version of the core product was sold, but this is no longer a wise decision. Instead, offering relatively similar products like those in urban markets while providing necessary value to the product will be the key. For example, the Pepsi or Coke 300-ml bottle can be marketed to rural customers, but the 1-, 2-, or 3-liter bottles would be difficult. It will not be due to a lack of need for the product, but rather to the fact that intermittent or non-existent electricity supply will be a problem for product disposition. This also illustrates another issue with respect to the quantity that the rural customer buys at any given point in time.The quantity bought is small and well measured, and this is where pricing becomes all the more difficult. Market research reveals that rural customers do not prefer expensive shampoo bottles. They would rather have a low-priced sachet that is sufficient for one or two washes. Thus, companies introduced shampoo sachets at a low price, which was very popular and helped the companies create larger sales by satisfying the unmet demand for shampoo in the rural market.It was also observed that a rural customer's toilet soap usage is once every five bathing occasions; hence, 5–6 times in a month. This means that overall soap consumption will be lower, and the product mix offered to a customer with this profile will have to differ significantly from that of his urban counterpart. Alternatively, the typical offer of "buy two, get one free" in soaps, which is extremely popular in urban markets, will not be so successful here. So, it is not just an issue of quantity alone but also appropriate pricing, which has to be offered to rural consumers.Consumers in rural areas might be more concerned about price. However, it would be incorrect to infer that they are not quality-conscious. For obvious reasons, the quantity of expensive goods sold at rural marketplaces is low. Rural customers across all income groups show a noticeable predisposition to spend on premium high-quality products that are supported by strong brand values, which correspond to their own aspirations and quality needs. This is true even when premium product purchases are less common in rural areas. With the emphasis moving from products driven by price to those driven by quality, there has been a paradigm shift in the consumption pattern in rural areas.

Activity 1

The price/quality issue has for quite some time been a typical dilemma for markets trying to access the rural market. Due to the low-paying capacities of the rural consumer, marketers have typically loaded the retail points with stripped-down, lower-priced versions of the urban brands, only to find that quite a few rural consumers are flocking to the nearby feeder town for the products "like the urban people buy." On the outskirts of your town, visit the retailers who are likely to have a rural clientele as well. Discuss with them to find out if there are:

- Changes in the brand buying behaviour
- Category switches as explained in the section above
- Any movements up the value chain

Comment upon these shifts.

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How do you think marketers aiming to focus on rural markets should respond to these shifts, especially with respect to pricing

9.3 PRICING OBJECTIVES

Pricing objectives serve as the foundation for pricing methods and policies, and a better comprehension of pricing objectives can guide a company's entire pricing process. Pricing objectives can be classified based on their content, desired level of achievement, and time horizon. Financial indicators such as profit, sales, market share, and cost coverage, as well as qualitative factors such as customer and competitor relationships, the firm's long-term survival, and the achievement of social goals, can all play a role in developing pricing objectives for rural markets. The primary objectives of pricing can include making a profit and covering costs, increasing demand and developing a user base, and supporting the firm's positioning strategy.When setting a price objective for the rural market, factors such as the degree of consumer involvement with the product and the nature of competition in the specific industry are very important.

Revenue and Long-Term Profit Objectives

A price is determined by taking into account both the profit and the cost of providing services. Furthermore, profit gain objectives may include maximising long-term profit, achieving a specific target level, or increasing revenue from a fixed capacity by varying prices and target segments over time. When entering the rural market, companies shouldn't plan on making quick money. In the beginning, they should introduce the product at a low price with a low profit through penetration pricing of the product in order to develop the market. For example, the Tata Group introduced the affordable Tata Swatch water purifier in 2009 to offer affordable, safe drinking water to rural communities lacking electricity or running water. The price of the 15-liter purifier in Indian rupees was INR 1,200. The Hindustan Unilever Pureit Model, which has a 14-liter capacity and costs INR 1575, was its closest rival.

Patronage and User Base-Related Objectives

Price can be used effectively to build demand and develop a user base by developing customer loyalty and relationships. Demand is often increased to realise full capacity utilisation by increasing usage rates and providing value to customers. The larger user base can take advantage of economies of scale to gain a competitive cost advantage. By encouraging service trial and adoption, a user base can be developed. FMCG companies are typically the ones to implement this pricing objective. Britannia's Tiger biscuits, Nirma soap, and Parle G biscuits in smaller packages are a few examples of products whose marketing approach focuses on increasing sales. National companies can use this strategy to successfully counter the low-cost competition from regional or local players. Reliance Jio,in order toencourage rural consumers to adopt their telecom services, or to switch from other providers , initially offered very low or zero calling charges.

Strategy-Related Objectives

Pricing can help with positioning and differentiation strategies. For example, as a price leader or a premium-quality provider. Pricing can also be used to support the firm's competitive strategy. It can be used to discourage potential new competitors from entering the market, as well as to discourage existing competitors from expanding capacity.

These objectives provide a sense of direction for rural market's price setting. These should be adaptable and change over time in response to changing environmental conditions and market characteristics such as: market size; form of competition, degree of governmental intervention, barriers to entry and exit from the market, rate of technological change, and so on.

9.4 PRICING METHODS AND STRATEGIES

Cost- Based Pricing

Cost-based pricing assumes that the cost of a unit of output can be determined and that a certain profit element is added to that to determine the price.

The basic formula for cost-based pricing is-

Price = Fixed Cost + Overhead Cost + Profit Margin

The effect of the experience curve must also be considered when using cost-based pricing. The experience curve implies that a business accumulates experience in manufacturing a product or providing a service. The accumulation of experience will then result in the real unit costs (without considering inflation) declining at a predictable rate.

Demand-based methods

The demand-based methods are:

Price skimming is usually used when a new, unique product is launched. The first-mover advantage, combined with a high price, can be financially beneficial for the company. For example, when high-definition televisions were first introduced, they sold for a very high price. Only customers who could afford to pay a high price for the technology purchased it. In this way the maximum amount of revenue was skimmed.

Penetration pricingis the opposite of price skimming. The enterprise decides to introduce the product at a low price. By keeping the price level low the company makes it easier for the consumer to minimise the risk of adopting a new product and lower the purchase resistance while at the same time more difficult for competitors to enter the market.

Prestige pricing. Price is used to create the perception of quality or to indicate a prestige product or service. Prestige pricing works quite well at the high income/ high status segment of the market.

Competition-Based Pricing

The main characteristics that trigger pricing decisions in competition-based pricing are competitors' prices and actions. Under this approach, firms have three main options: fix the price at the level that the competitor is charging, fix price above the competition, or fix price lower than the competitor's price increase market share. The decision is influenced by the extent to which their products and services differ from those of their competitors, the level of competition, and the firm's market position.When there were fewer significant companies in the past, regional brands with lower prices were the key competitors rather than other national players. In recent times, however, a number of domestic and foreign competitors have entered the rural market, and these competitors are now defining competition in the majority of product categories.Telecom service providers, for instance, frequently employ this strategy because consumers frequently compare switching costs between competitors and the services are generally comparable in terms of offers.

Value-Based Pricing

Value for money is a major concern for rural customers. They prefer high-quality products over cheap ones when they can get them; therefore, they don't always search for cheap products. When determining the price to be charged, the value-based pricing approach takes the customer's perspective into account. The price to be charged is determined by the customer's perception of the value that a product or service provides and what they are willing to pay for that value.

Value-based pricing strategies are:

Value as Low Price: Rural customers may perceive value if the service is available at a reduced or low price. In this case, the following pricing strategies are more effective.

Discount pricing refers to the practise of offering a discount to channel intermediaries such as retailers for providing products in rural markets. It may also be used as a promotional device when demand for the product is low. This strategy may also be used to encourage customers to try a new product (such as with an introductory discount).

Psychological pricing is used to influence consumers by setting the price at odd numbers such as INR 99, INR 199, and so on. It gives customers the psychological impression that they are receiving products at a low cost.

Penetration pricing refers to the practice of introducing a product at a low initial price in order to attract the price-sensitive market.For example, Reliance Jio Infocomm Limited (RJIL) entered the Indian telecom industry in September 2016 with its "Jio welcome offer," which included a free data and voice plan that was later extended until December 2016. After that, it unveiled the "Happy New Year offer," which extended the previous plan through March 31, 2017. It charged low prices even in 2018 and 2019 to provide high speed internet and voice, which fuelled the Indian digital revolution.

Value as Benefits: some group of rural customers consider the suitability, quality, features, and benefits that they receive from the service to be the most important factor in determining the value of the service, rather than the price.

The following strategies are appropriate for a rural customer group that perceives that value is everything.

Prestige Pricing aims to attract premium market segments. The service's price reflects the status of the target market. Customers place a higher value on the service's high price.

Skimming Pricing involves launching a service at a high initial price. Companies seek to exploit the opportunities in the premium segment in the first phase. The earliest prices of mobile phones were part of skimming pricing when the market was dominated by a few players.

Value as Special Packages Offered by the Company: When evaluating the value of products, this group of customers considers the total benefit received as well as the total sacrifices made by them, including money, time, and effort. The company's special packages attract this type of customer. The following strategy is suitable for this group:

Price Bundling:When customers perceive value in a package of products that are interrelated, price bundling is an appropriate strategy. It basically means pricing and selling products or services as a group rather than individually. For example, telecom companies offer bundles that include wired internet connections, landlines, mobile phones, OTT goods, and content.

Among the most popular pricing strategies adopted by marketers in rural markets are promotional pricing, and in the later part of this unit we will discuss how some of the promotional pricing methods are adopted in rural markets. Some of the promotional pricing methods in use are:

i) Loss-Leader Pricing

ii) Special Event Pricing

iii) Cash Rebates

iv) Low-Interest Financing

v) Longer Payment Terms

vi) Warranties and service contracts

vii) Psychological discounting

In your unit on pricing in MMPC-006, you would have already discussed some of the aspects mentioned above. This unit will look at the implications from the perspective of the rural market. In addition to the seasonality of demand in rural areas due to primarily agricultural occupation, one of the factors that marketers must consider is the extremely high degree of volatilityand seasonality of rural earnings. This high volatility of earnings is on account of the unpredictability of monsoon-dependent agriculture in India, which employs 70% of the populace directly or indirectly. It is evident that this high volatility results in the suppression of the buying power of the farmer, as he is never sure of a sustained source of earnings and would not like to squander his earnings on products that are deemed less than an absolute necessity. Pricing must therefore clearly define and reflect the value proposition of the products and services on offer in all cases.

Activity 2

Visit a nearby village and observe the pricing methods used by consumer durables and FMCG companies to increase the affordability for rural consumers.

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9.5 RURAL PRICING STRATEGIES

One of the key aspects of rural pricing is the distribution cost, which adds to the overall cost of the product. Marketers, on the other hand, believe that prices will be lower in the rural markets. Because of this dilemma, rural marketers have always sought to provide consumers with products that provide more value at a lower cost. On the other hand, marketers have also been making attempts to help consumers in rural markets switch to their products with a better price offer than their competitors or the nearest local version of the product. But before we dwell on this issue further, it will be critical to evaluate some fundamental price structures that exist in rural markets. Rural markets usually work with two different price levels for similar products.

1. When a product is distributed from company sources to rural retail markets, the price structures include the cost of distributing it directly to the retailer or distributor.

2. Alternatively, in other cases, the local retailer also visits the nearest distributor or dealer in the nearest town or district to collect his stocks, and there the retailer adds his own cost of distribution to the product.

Because the nature and amount of logistics costs incurred differ at both levels, the pricing structures are very different. In some instances where marketers are not able to approach certain markets for absence of proper infrastructure (primarily roads), the local retailers take the onus of approaching the nearest distributor/dealer/stockist. On the other hand, the local haats and fairs also offer products at the best deal and so the third pricing structure though more a part of promotional pricing strategy, also coexists along with the first two.

With different price structures, very often for the same products, rural marketers find it difficult to ensure sustainability. Sustainability also refers to maintaining similar price levels. If the monsoon season leads to bad road conditions and the local retailer incurs a higher cost of reaching the goods to his village, the final product price will also vary substantially. However, as previously stated, because average FMCG product usage occasions and amounts are lower than in urban markets, price differences in aggregate terms are not usually varying highly. Sachets, one of the most successful forays in rural markets, are usually low in amount and cost. The price differentials are also affordable from the consumer's perspective. The retailing comparison as shown in Table 9.2 explains the differences between urban, semi-urban, and village markets with regard to pricing issues.

Table 9.2 : Retailing Comparisons

Retailer	Products	Promotion	Role and influence	Price
Urban* (city or town)	Global and national brands, few local brands	Wide range, intensive	Informative and suggestive, helps identify alternatives	MRP, one price for all, selective discounts to a few, prices displayed, billing formal, no credit, credit cards accepted, selective credit to a few, packed to weights, no adulteration
Semi-urban (small towns) feeder points for villages	National and local brands, few global brands, many unbranded	Limited, mostly POP, discounts and incentive offers	Informative and persuasive, helps evaluate alternatives	MRP in case of branded products, prices of essential commodities are displayed but erratically, different prices offered to different customers based on volume of purchase and knowledge of buyer, loose sales, weights and measures are less accurate, adulteration done, mark-up on items for which prices are not fixed, selective credit policy, billing is less formal
Rural (village selling points)	Few national and global brands, mostly local and unbranded	Marginal, mostly point-of-purchase and road shows	Informative and decisive, helps decide purchase	Mark-up on all items, no display of prices, different prices to different customers based on customer knowledge and type of purchase (barter or cash), improper weights used, adulteration done, loose selling of items, mostly oral billing

Source: Rural Marketing, Krishamacharylu and Ramkrishnan (2011)

Activity 3

Identify the major difference between pricing strategies for the rural and urban markets. How would you address the pricing decision for a small village in India if you were to decide on the price of

Common salt?

Insurance policies?

Cold cream?

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9.6 PRICING AND INCOME LEVELS

Another issue critical to the rural markets is the large income disparity that results in the consumption patterns being not so regular. In fact, between the urban and rural consumers the income disparity is fairly large. As a result, the basic price differentials are fairly large between these markets.

Contributors in terms of income, spending and savings is exhibited in Table 9.3.The share of the middle class, with an annual household income of Rs 5-30 lakh, more than doubled from 14% in 2004-05 to 31% in 2021, and is projected to rise to 63% by 2047, according to a survey by economic research outfit PRICE (People Research on India's Consumer Economy).

Table 9.3 : Contributors in terms of income, spending and savings

BIGGEST CONTRIBUTOR IN TERMS OF INCOME, SPENDING AND SAVINGS

Category	Household	Population	Income	Expenditure	Saving
Rich (>₹30L)*	3	4	23	17	43
Middle Class (₹5L-30L)	30	31	50	48	56
Aspirers (₹1.25L-₹5L)	52	52	25	32	1
Destitutes (<₹1.25L)	15	13	2	3	0

*Annual household income at 2020-21 prices | Source: PRICE (figures in %)

It is also evident from Table 9.4 that the middle-and low-income categories are large and they are either value conscious or price conscious.

Table 9.4 : Consumer Categories

Category	Annual Income	Lifestyle
Quality Conscious	Over Rs 30 lakh	iRich
Value Conscious	Rs 5 lakh to Rs 30 lakh	Middle class
Price Conscious	Rs 1.5 lakh to Rs 5 l akh	Aspirants
	Below Rs 1.5 lakh	Destitute

Source: www.naukrihub.com

The agriculture and rural development programmes of the government have helped to increase income with increased agricultural output in the rural areas. This, in turn, has created greater purchasing power in rural markets. However, it is also useful to note that rural markets are fragile and are susceptible to several vagaries. A bad season of crop and numbers go haywire. Historically, there have been numerous evidence of the same including aspects like drought or maybe the inability to fetch the right prices for one's agriculture output.

9.7 CHANNEL SELECTION AND PRICING IMPLICATION FOR RURAL MARKETS

You are already familiarwith the concept that, while the use of intermediaries is imperative to gain access to remote and dispersed markets, the increase in the number of levels in the channel between the producer and the consumer also has a bearing on the final price paid by the consumer. The rural markets present a situation where the products reach the consumer through several layers in the distribution channel comprising, authorized dealers, stockiest, wholesalers, C and F agents, large retailers and the local village retailer. You can appreciate that the greater the number of layers in a channel the larger will be the aggregate total trade margin paid to the distribution network. The final price paid by the consumer thus would need to absorb all these margins as well as the cost of goods sold. One way that the marketer can actually offer products at a lower price is to find innovative ways of reaching the rural consumer without involving a large number of intermediaries. For example, some companies are experimenting with more direct distribution strategies like mobile traders, haats, and self-help groups to offset this additional expense. These methods assist in expanding the scope of rural markets while also minimising the number of intermediaries and their functions.

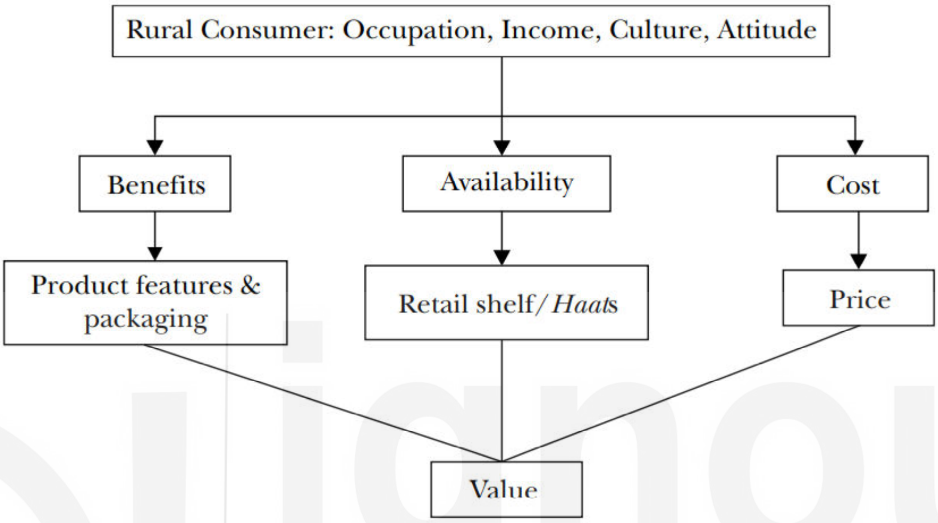
Marketers have to consider the compatibility of the company's target customers with a particular retail format, and their preferred mode of payment for a particular product category. For example, the retailer in a village is compelled to extend credit to his customers, while the retailer in a haat sells only on cash as his customers coming from many surrounding villages. Similarly, mobile traders extend credit facilities to their regular customers.

Retailers in rural areas are forced to stock brands for which they may obtain credit since they have limited capital to spend in their businesses and must do so in order to offset the credit they can extend to their consumers. Most regional and local brands offer credit as well as higher margins. Retailers do not find it difficult to promote these local brands because "credit" consumers do not have a lot of say in the products that are available. The large retailers or sub-stockists will have to grant credit in order to replace the regional brand on the retailer's shelf with a national brand. As a result, the company might be forced to offer credit, raising the price of the products.

9.8 PROMOTIONAL PRICING

Having discussed some of the basic issues in pricing for rural markets, this section looks at some of the pricing strategies actually adopted by marketers in the rural markets. Though the remaining pricing strategies are also adopted by the rural markets, promotional pricing is usually the preferred route. Geographical pricing and product mix pricing are also adopted by marketers for any given market. LG's Sampoorna range of TVs was launched exclusively for the suburban and rural markets; it was a stripped-down version of the company's core product and eventually met with little success in the rural markets. The critical point for rural marketsis products that focus on consumer needs, or alternatively, low-priced products aimed at price-sensitive rural markets. The choice will purely depend on the organisation's objective to meet consumer demand effectively.

Figure 9.1 : Product and Price as Critical Factors



Source: Rural Marketing: Targeting the Non-Urban Consumer, Velayudhan (2002)

The figure 9.1 represents the product versus pricing issue, which will be critical to consider for organisations entering rural markets. It will never be true that only low-cost items will sell well in rural markets. Usha found that sales of its economy models were falling sharply in rural areas. Farmers preferred Usha's premier Century brand, though they thought it was priced 20% higher, as they found the value proposition of the latter more in keeping with their perception of value.

Promotional pricing in rural markets may involve introductory price offers targeted at promoting trial, free samples, or quantity discounts to ward off competition. The price discounts that are commonly used are summarised in table **9.5**.

Table 9.5 : Promotional Pricing: Price Discount

Type of Discount	Objective
1. Volume Discounts	To encourage consumers to buy larger volumes at much lower prices. May succeed at post-harvest, festival or pre marriage seasons.
2. Trade Discounts	To motivate channel members to serve customers effectively. Usually given at the time of special schemes, product introductions, or new model introductions.
3. Seasonal Discounts	To stimulate demand in lean periods and smooth out wide fluctuations in demand. Typically offered before and after peak demand periods.
4. Promotional Discounts	To stimulate channel members to make special efforts to promote demand. Usually for a limited period.

Source:adapted from Rural Marketing,Krishamacharylu and Ramkrishnan (2011)

A key consideration is also the sources of income in the rural sector, which affect consumption patterns. With harvest season, disposable income goes up, and farmers have a tendency to experiment with purchases. The synchronising of price offers and assortment offers to such patterns is referred to as "income stream and consumption basket offering." This effectively means that the price and positioning decision is influenced not only by the income received, but also by when it is received and how it is distributed among various needs.

Haats and melas form an integral part of the rural consumer's shopping patterns. Owing to the nature of such fairs and timing, purchases are usually varied and even made in bulk. For instance, the Sonepur Cattle Fair finds buyers and sellers for not just cattle, but as a variety of other elements are also merged onto the fair, it witnesses all kinds of purchases and bargains beyond cattle. Naturally, price will be the key differentiator for most purchases. The Kumbh Mela, the annual ritual of the Hindus, also witnesses a large number of visitors from the rural countryside. Marketers seize every opportunity to offer the best deals and products on such occasions to take advantage of the heightened purchase intention.

9.9 COMPETITION AND PRICING

You are aware that, apart from the costs of a product and the consumer's capacity to pay, the third leg of the pricing decision tripod is the competition. In any competitive category, prices need to be responsive to the competition's price points. Small differences in seemingly similar product offers, as in a price-elastic and value-for-money market scenario, could cause you to lose market share to your competitors. Rural markets may have a thin competitor presence at the early stage, but as more organisations warm to the emerging potential of rural markets, pricing decisions will need to be extremely sensitive to what the competition offers. Price reductions, package size reductions accompanied by price reductions, or offering more volume for the same price are all examples of competitive pricing offers. Price setting becomes an issue when your competitor either reduces his price or initiates a price increase. While your final decision on price fixation in such situations may rest on an analysis of the price sensitivity of the consumer and your own costs, certain generalisations can point in the direction of an appropriate strategy. A price increase by the competitor should be matched in a period of growing demand or rising costs. If you can manage to control your costs at their current level and are in a highly price-conscious market, a market advantage is likely to occur when you maintain your prices while the competition initiates a price increase. If economies of scale or technology enable you to get a clear cost advantage, you could benefit significantly by actually lowering prices, even if it means narrower margins, because you could pre-empt or oust competition from the market.

Rural markets have been shown to be highly price-conscious markets, especially when the brands are perceived to be more or less similar. When a competitor lowers the price of its products, you should carefully consider the price maintenance option. In extremely price-conscious markets, failing to reduce the price may result in the loss of consumer franchise. If, on the other hand, the market is more value-conscious and has demonstrated brand loyalty, reinforcing your brand's value proposition may allow you to maintain your position even if competitor'sprices are reduced. Matching the price cut initiated by the competition is indicated when the market is, as noted above, very price conscious and does not display any notable brand preference or loyalty to your brand. A strategy to counter direct price cuts is to offer more affordable but smaller package sizes.

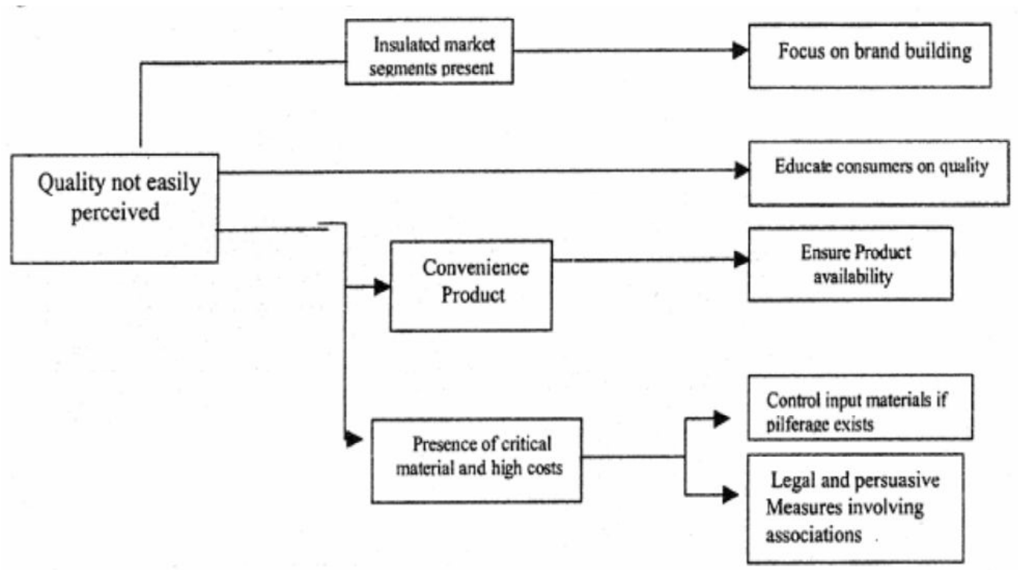
The smaller firms compete with the big ones for market share and pricing. The companies have discovered that the volume expansion of several product categories has been impacted by regional and local brands as well as inadequate infrastructure to reach rural customers. They also struggle to compete with the low-cost player's lower pricing and appealing terms. For instance, branded tea has tough competition with unbranded loose tea in rural markets. To compete with local companies, companies like Hindustan Lever and Marico are creating products in sachets and pouches with low prices.

D. Shiva Kumar, former general manager of marketing (personal products) at HUL, expressed that "all four P's apply in the hinterland, but price is the single most important determining factor. But the marketer's job is to find the right proposition, product, or solution for the rural customer. There are enough examples of product and packaging innovation that have resulted in instant successes (Brooke Bond A1, Wheel, Kissan, Annapurna, Lipton Tiger) in the rural market. The rural consumer's quantity of consumption is less as his share of the wallet for these items is clearly delineated. Food and agricultural inputs dominate; whatever is left is used to fulfil aspirational needs."

9.9.1 Competing Against Duplicates and Imitations

A key concern facing marketers with respect to rural pricing is the issue of branded versus unbranded goods. Rural consumers are aware of the brand's product relative to its price as a critical aspect of branded goods consumption. The local and spurious products will continue to exist alongside the branded products. It does become difficult for consumers to choose at times, considering the price disparities and the income disparities. In rural areas, a close imitation of a popular brand with similar packaging may outsell the original simply because it is sold at a much lower price, sometimes by a price differential of 50%. Through a study conducted in rural markets, AC Neilson was able to establish that sales of spurious Vicks equalled those of the original brand. The company was able to obtain an injunction on sale, and the raids conducted on the premises of the stockiest enabled the seizure of the stock of look-alikes, worth Rs. 3.5 million, with the spurious rub branded as Vikas and the cough drops as Venus.

Figure 9. 2: Measures to Counter Duplicates and Imitations



Source: Adopted from Rural Marketing: Targeting the Non-Urban Consumer, Velayudhan (2002)

Figure 9.2 is an indication of how to control the counterfeiters and spurious products in the market. Recent trends, however, have clearly indicated rural preferences for branded products that have proven to be superior and long lasting. As a result, the marketer must both inform customers about brand quality and make the goods easily accessible to them. Associating a brand with a quality image is an effective strategy to compete against imitations in products and markets where determining quality is challenging.

Activity 4

Visit the websites of leading FMCG companies like HUL, Proctor and Gamble, Dabur, Colgate Palmolive, and ITC. Look at the products they are offering to the rural market. Compare their pricing strategies for the rural markets and comment on them.

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Offering quality at a low price or changing the price based on the quality offered will always be critical issues to ponder in the context of rural markets, and marketers will need to consider a few important factors before deciding on the final price. These include

i) The geographic reach and infrastructure of the region

ii) The income spread in the region and overall agricultural revenues along with seasonality based purchase cycles

iii) The presence of local products and players

iv) The retail presence in the region

v) The vicinity of feeder towns or cities

vi) The popular pack sizes available and in demand

vii) The substitutes available for the product

viii) Finally, selection of the right villages

9.10 SUMMARY

In view of the prevailing socioeconomic and resource profile of the rural consumer, pricing is among the most critical decisions in the rural marketing strategy. While the basic determinants of pricing, i.e., costs, competition, and consumers' capacity to pay, remain valid, the wide variation in these variables makes pricing a difficult decision for the rural marketer. This unit discusses strategies for the rural market and familiarises you with the issues involved in promotional pricing, competition-related pricing, and the pricing implication of channel decisions. The impact of factors like the volatility of rural earnings and the seasonality of demand has also been discussed.

9.11 SELF- ASSESSMENT QUESTIONS

1. Explain the objectives and significance of pricing in rural marketing.
2. How do you price products for different rural market segments (quality-conscious, value-conscious, and price-conscious)?Discuss with the help of suitable examples
3. Discuss the pricing methods and strategies adopted by firms in the context of the rural economic environment, taking examples from recent pricing practices by companies
4. Do you agree that stripped down versions for rural markets at a lower cost or similar cost structures but smaller quantity can be effective as alternate strategies? Comment.
5. Explain the concept of promotional pricing in the context of rural markets.
6. Discuss the pricing implications of channel intermediaries in rural markets.
7. Explain the concept of competitive pricing in the context of rural markets.

9.12 SUGGESTED READINGS

- Kashyap, P. (2016). Rural Marketing, Pearson Education.
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- https://timesofindia.indiatimes.com/business/india-business/middle-class-nearly-1/3rd-of-indias-population-to-be-2/3rds-by-2047-report/articleshow/95239621.cms

UNIT 10 INTEGRATED MARKETING COMMUNICATIONS (IMC) FOR RURAL MARKET

Learning Outcomes

After going through this unit, you should be able to:

- identify the challenges involved inrural marketing communication
- design the process of rural communication
- explain the meaning and need of integrated marketing communication (IMC)
- describe and apply the tools of IMC
- discuss conventional and non-conventional rural centric media
- develop familiarity with how to develop effective rural communication

Structure

10.1 INTRODUCTION

The concept of marketing mix or 4Ps was proposed by E. Jerome McCarthy in 1960 and it has played an important role in the development ofmarketing theory and practice. The 4P's of the marketing mix include: product (customer's solution to a problem), price (cost to customer), promotion (communication to customer) and place (convenience to customer).

Promotion and marketing communication are same in the meaning.The Marketing Communication refers to "the means adopted by the companies to convey messages about the products and the brands they sell, either directly or indirectly to the customers with the intention to persuade them to purchase".However, marketing environment has undergone a sea change and so has marketing communication.

Marketing communicationhas been impacted upon by technology and there has been an emergence of contemporary and new media forms and formats. Advertising has changed to become more interactive and digital; sales promotion and personal selling have become more customized, direct marketing has become popular with the emergence of direct to customer brands and public relations have become a source of competitive advantage. Besides this, the scope of marketing communication has increased beyond the traditional marketing mix to include branding, packaging, online presence, printed materials, sponsorships, trade show appearances, website, URL, application and many more touchpoints. A customer today has multiple touchpoints with the brand-some of them are planned by the company, but most of them are random and incidental. For example, a customer's interaction with an employee at the store is a touchpoint for the customer to create an impression about the brand. The location of the store also communicates something about the brand. The store ambience creates certain impressions and so does the point-of-sale material used in the store. The out of home banners and posters also say something about the brand as does the TV, social media advertisement. All these brand impressions can work best when they synergize and reinforce each other. Marketers need to integrate every communication happening over every platform so that the customer has clear and concise communication without any confusion. The idea of integrating the communication happening over all possible platforms is called as Integrated Marketing Communication (IMC).

10.2 WHY INTEGRATED MARKETING COMMUNICATION (IMC)?

Marketing Communications (Marcom) is defined as themedium and message that marketers use to communicate with target the potential customers.It is the process of coordinating different marketing messages and media in order to communicate with the market.

We become aware about any product/brand when we see an advertisement about it on TV, radio, internet, magazine, newspaper or see it being used by somebody. We also get to know that the brand is available at a discount of 15% by the sales promotion messages. Sometimes, salesman comes to our house to make a sales pitch and he demonstrates the product features and functions. This is seen in case of Eureka Forbes and many more companies.Swiggy and Zomato are examples of companies that send email to the customers asking them to buy the product. And finally, a company does a lot of charity and supports social causes so that the potential customers know about the company and create a positive image about the company in their minds. HUL supports the cause of sustainability and Tata Salt donates some percentage of its sales revenue to social causes.

All the above examples refer to a traditional marketing mix. Traditional communication mix includes the following elements:

- Advertising
- Sales Promotion
- Personal Selling
- Direct Marketing
- Public Relations and Publicity

Today, in addition to the above communication happens on non-conventional platforms and channels and thus the traditional marketing mix is not enough to encompass the process of marketing communication. Everything communicates and creates an impression on the customers. For example, we have an image about McDonald's in our mind and this image has been created by the M-shaped golden arches, use of red and yellow color in the logo, the products-alootikki burger, the uniformed employees, round tables, play area, website, URL, application, bills and stationery used, the figure of Ronald McDonald outside the outlet, hoardings and banners on the roads and also the events that Mc. Donald' sponsors (Olympics) etc. Each of the elements discussed above communicates something about McDonalds. Thus, it is very important that the message conveyed by each element is integrated to deliver the same, consistent and clear meaning about Mc Donalds. The communication should be like an orchestra in which a lot of instruments are used but the audience can hear only one united and integrated symphony and cannot differentiate between the different instruments used.

The idea of integrated marketing communication (IMC) was introduced by Schultz in 1980 and this has created a breakthrough change in the way marketers communicate with the prospects. The American Marketing Association defines IMC as *"a planning process designed to assure that all brand contacts received by a customer or prospect for a product, service, or organization are relevant to that person and consistent over time."*

Don't you recognize an Apple advertisement immediately when you see it? You are able to do it because the logo, tone, style, colors, images, imagery, and messaging are exactly the same whether you see an ad on the TV or magazine or website or OTT or while browsing the company's website. The same is true of the in-store experience. This could not have happened without a planned effort at an integration of message and messaging across all media forms and formats. Would you have not been confused if every individual communication was different and did not reinforce each other?

IMC means coordinating all the marketing communication so that all the marketing communication options reinforce, synergize and complement one another to deliver a single, coherent and consistent message to the target customer.IMC has become very important as modern times have presented marketers with multiple communication options to inform, persuade, convince and remind consumers to buy their products. Marketing communication has witnessed the fragmentation of traditional media, as well as the emergence of new forms of non-traditional media. One message or one platform is no longer enough to convince the customers and thus an array of interventions is needed. These diverse options that make up a communication program need an integration and thus marketers need to employ integrated marketing communication (IMC) methods. Emergence of IMC is indeed an important development in the marketing discipline since the 1990s.

We live in an age and world where almost all customers combine all possible offline and online touch points before they buy any product and the possibility of purchase is 494 percent higher on when a customer sees the brand over multiple media platforms rather than on a single platform. Thus, a marketer needs to make the message loud, clear, cohesive and consistent. It is here that an IMC approach to communication helps by bringing all the marketing efforts together under one cohesive strategy.

10.3 TOOLS OF IMC

Companies can communicate with their customers through their promotion mix that includes a number of tools.

Advertising

Advertising is defined as “a paid form of communication by the service providers with its target audience to facilitate exchanges (of services or information) with its stakeholders”.

Functions of Advertising

Informing: Advertising helps to inform customers about the product.Spreading information and making the customers aware is important when the product is a new product belongs to a new product category about which the customers have no prior information and knowledge. For example, when Tata Sampann launched unpolished daal (pulses), the Indian market was not aware about unpolished pulses and its importance. The company hired Sanjeev Kapoor, a famous chef, to educate the masses that unpolished may look unattractive but it is pure, unprocessed and chemical free.Maruti Suzuki used a famous tagline “Ki kara petrol khatam hi nahi honda” to educate the customers about its fuel efficiency and mileage.

Reminding: Mature and established brands use advertising to remind the customers of their market presence and thank them for buying the brand. You will have never seen a Coca Cola ad educating or informing customers about Coca Cola. The advertisement is meant to remind the customers that Coke is there as a brand and you may use it on occasions like celebration or moments when you are thirsty and need to quench your thirst.

Advertising can reach a geographically dispersed audience. The message can be dramatized and thus amplified for a better message delivery. The disadvantage lies in the fact that most advertising is a monologue and customer feedback cannot be obtained. It is impersonal and hence not a very persuasive tool. And of course, it’s a costly method and most small companies and startups cannot really afford advertising.

Sales Promotion

As proposed by Kotler, sales promotion means giving short-term incentives to encourage the sale or trial. FMCG companies have used this since long. Sales promotion includes the following:

- Discounts
- Coupons
- Rebates
- Price-off,
- Contests
- Demonstration
- Sweepstakes
- 10 percent more
- Buy one get one free
- Bundling

Sales promotion as a tool is good for grab the attention of the customers towards the product. When offered an attractive incentive, the customer may land up buying and trying the product.

It should be used with a lot of care and caution. Too long a sales promotion becomes a part of customer expectations and when the sales promotion is discontinued, they may then stop using that product. Thus, for example, Koutons' promotional offered '50% + 40% off'and this delighted the customers initially but later they realized that the offer was available any time of the year and this made them doubt the quality of the shirt that was priced at Rs.1,500. What appeared to be a good bargain and engaged the customer later disengaged them as they realized that they were victims of a very clever marketing strategy.

Personal Selling

Personal selling is defined as 'face-to-face interaction between buyers and sellers so that it leads to value creation that is a solution to the customer's problem and also results in achieving the company's objective'.

Personal selling provides thelatest, updated information to the customer, listen to their objections and handle the queries. This dialogue helps in gaining consumer insights alongside encouraging purchase and consumption involves selling through the salesforce. Eureka Forbes does it at a very large scale.The sales personnel are in a direct contact with the customers. Hiring and maintaining a sales force and meeting their travelling costs while they are on sales calls cost the organization enormously. But still, this money is well spent as it is most effective communication tool as far as building a customer preference, conviction, and purchase are concerned. Salesmen in their interaction with the customers can tailor their presentations according to the customer's requirements and provide.

Direct Marketing

The Direct Marketing Association (DMA) defined direct marketing as 'an interactive system of marketing that uses one or more advertising media to effect a measurable response and/or transaction at any location'. Direct marketing means that company does not use any intermediaries and thus the cost of making product available to the customer reduced. The advantage of reduced cost is transferred to the customer as reduced price and this delights the customer. Dell used direct marketing to provide cost effective customized products to the customers. Customization is the essence of direct marketing. Swiggy, Zomato, Ola, Uber are all the new age organizations hat contact the customers directly over emails. Direct marketing message is more recent, updated and contemporary as compared with advertising.

Public Relations and Publicity

Public relations imply managing the relationship with the various stakeholders such as employees, shareholders, customers, public, media, society and government. Jobber (2001) defined public relations as "the management of communication and relationships to establish goodwill and mutual understanding between an organization and its public". Publicity is defined "a particular manner of information projection through various media of mass communication about an organization, product, event or issue to influence public opinion' (Sengupta 2005). It means that the brand is being referred to in the media without paying for it as in the case of advertising. Managing good relations with the median can provide media coverage which highlights the company in a positive light. It's a kind of image boosting initiative where a customer gets to know the brand and the company in a positive light.Through publicity, companies can reach those customers who avoid advertisements and salesmen. Publicity allows a company to reach a wider audience at almost no cost.

Common Communication Platforms are shown in Table 10.1.

Table 10.1 : Common Communication Platforms

Advertising	**Sales Promotion**	**PR**	**Personal Selling**	**Direct Marketing**
Print and broadcast ads	Contests, games, sweepstakes, lotteries	Press kits Speeches Seminars Annual reports Donations Publications Company magazine	Sales presentation	Catalogs
Packaging-outer	Premiums and gifts, coupons, rebates,		Sales meetings	Mailings
Packaging inserts	Sampling, low interest financing		Incentive programs	Telemarketing
Posters and leaflets	Fairs and trade shows		Samples	Electronic shopping

Source: Adapted from Kotler and Keller, Marketing Management.

10.4 STEPS IN DEVELOPING EFFECTIVE IMC IN A RURAL CONTEXT

Developing an effective IMC is no accident. It requires meticulous planning and can best be achieved by following the steps as given below:

- Identifying and profiling the target audience
- Determining the communication objective
- Designing the message
- Selecting the communication channels
- Budgeting for rural communication
- Designing the communication mix strategy
- Measuring communication effectiveness

I. Identifying and profiling the target audience

This is the first and most important step while creating a marketing message. It involves understanding 'whom' does the company wantscommunicate with. This involves a deep and precise understanding of the company's target audience also called as 'know your customer (KYC)'. The communicator should know everything about the target audience in order to design an effective message.

The marketer should know the customer in demographic, geographic, psychographic and behavioral terms. This is important because a message created by Coke for urban populace shall be very different from that for a rural customer. The profile of a SEC R3 person in Bihar shall be very different from that of the person in Rajasthan. The message thus has to be customized for location, socio-cultural status and many more impacting variables and this cannot happen without profiling the customers.From your exposure to rural socio economic and cultural environment in Units 2 and 3 of this course and Rural consumption behavior, you would now have a fair understanding of the target audience in rural markets.

Example from Rural Setting:

1. Dabur had to launch baby- care products in rural market. They profiled the customers in *haats* and *melas* and understood that rural parent is now very aspirational and would like to use brands instead of homemade hacks. Also, they discovered that the wife decides on the brand to be purchased while the husband actually goes out to buy the brand. It was clear that since the decision is made by the mother, all promotional messages should be targeted towards the lady of the house and highlight the safety and care aspects. This is an important insight that can come only from identifying and profiling the target audience.

II. Determining the communication objective

The final objective of any communication is to stimulate sales and increase profits. But the objectives have to related to the buyer readiness stage. Every customer is at a different buyer readiness stage when it comes to eliciting consumer behavior. Marketing literature confirms that there are six buyer readiness stages as follows:

Buyer Readiness Stagescan be best described using the AIDA model, which is the best-known response-hierarchy model.

- Awareness-Make the target audience aware
- Interest-Arouse interest amongst the target audience
- Desire-Strengthen liking and preference for the product
- Action-Persuade the customer to buy the product

Communication objective at each stage has to be different and the idea has to be to move customers to higher states of readiness to buy.

Example from Rural Setting:

Continuing with the previous example, Dabur first has to make the lady of the house aware about the baby care products. Educating through informative ads shall the arouse the interest of the customer. Then, this has to be followed by a preference building communication wherein the customer develops a strong liking and preference for the brand over the competitive offerings available in the market. Once the customer builds a brand preference, she shall get into action and buy the product. The communication message throughout the stages shall vary from being informative to being persuasive.

Communication objectives may be as follows:

- Establishing a category need- for a new- to- the world product
- Building brand awareness - ability to identify (recognize or recall) the brand within the category
- Developing brand attitude-evaluating a brand with respect to its perceived ability to meet a currently relevant need
- Building brand repurchase intention-Increase mental commitment to buy by releasing promotional messages.

III. Designing the message

This requires addressing the five important questions:

- What to say-Content
- How to say it logically-Structure
- How to say it symbolically-Format
- In what context to say-Context association
- Who should say the message-Source

What to say-Content

This means choosing the right appeal. Appeal means theme, central idea or Unique selling proposition. Three types of appeals have been identified.

Rational appeals-relate to audience's self-interest and giving a reason to buy the product.

Babool babool paisy wasool = cost effectiveness

MRF pehalwan chaap baagi gaadi tyres = durability

Emotional appeals-relate to feelings love, humor, pride, joy, guilt etc.

TV ad for kayamchurna shows a hunter who fails to shoot the three evils of constipation, acidity and gas and exclaims "goliyon ka bhi asar nahi"=humor

Moral appeals/Social Appeals-relate to audience's sense of right/wrong

Pulse polio ad by Amitabh Bachhan-'Dhikkar hai tum par' for the parent who did not give polio drops to the child guilt appeal=guilt.

How to say it logically-Structure and Format

The effectiveness of a message depends on its structure. Keeping in mind the low education and comprehension levels of rural customers, the structure should be kept:

- Short
- Simple
- Self-explanatory
- Logical

- Easy to understand
- Clearly drawn conclusions
- Dramatic
- Using bright audio visuals
- Pictorial rather than verbal descriptions
- Symbolic-tortoise in 'Kachua Chaap', Plus symbol in 'Clinic Plus'
- Story based messages- HUL's 'Haath mooh bum' campaign for washing hands three times using Lifebuoy.
- Demonstration- HUL communicated about Wheel Detergent by showing the difference between dirty and clean clothes by soaking the clothes in water and then showing the villagers the dirty water to show that the clothes were dirty and the detergent cleaned them.

Context Association

Would a rural customer be able to relate with an advertisement shot in a multiplex, with educated and formally dressed educated men and women speaking English and carrying the most sophisticated gadget? The answer is an obvious NO because the setting is not relatable. Instead, if the same advertisement had bright colors, local dialect and rural dressing, it would have even been able to persuade the audience towards a higher level of action, that is, buying the product.

Example from Rural setting:

Coke's campaign with Aamir Khan had a tagline 'Yaara da Tashan' showing Aamir Khan eating sugarcane in the field dressed like a villager in a turban. This is very different from an urban communication, but very largely relatable by a rural prospect.

Message Source

This means 'who should say the message'. The sources are chosen based on three parameters:

Likeability- Use of likeable sources improve the acceptance of the message.

Example:

Thanda Matlab Coca Cola- Aamir Khan

Jaandar sawari, sabse shandaar sawari for Rajdoot- Dharmendra

Credibility

Message delivered by doctor, sarpanch teacher, gram sevika, anganvadi worker is considered to be credible in a rural setting as they are opinion leaders in a rural context.

Example:

Asian paints communicated the rural audience and made them replace 'chuna' with paint brand Utsav by painting the house of *Sarpanch* with Utsav.

Grren peace's *Oorja Kranti* spread awareness about renewable energy sources by collaborating with NGOs and eminent village personalities.

Glaxo Smithkline promoted its OTC products with the help of doctors in health camps at the *haats*.

Expertise

Example:

A shopkeeper in a village setting enjoys expertise about FMCG products and he also serves as an advisor on which brand of shampoo or oil to buy.

A mechanic can be an opinion leader for a brand of motor cycle.

A prosperous farmer can spread a good word of mouth about a company marketing seeds, fertilizers, farm equipment etc.

IV. Selecting the communication channel

Communication channels could be:

Advocate Channels- Company salesmen talking to buyers

Example: Avaas Financiers has a rural salesforce that identifies a customer in need of loan and pitches the proposal to the prospect.

Expert Channels- experts connected with the buyers

Example: Cement companies rope in masons to communicate the brands' benefits to the prospects.

Social Channels- friends, acquaintances, peers, neighbors, relatives.

This is the most referred source in a rural setting. A prosperous farmer can spread a good word of mouth about a company marketing seeds, fertilizers, farm equipment etc.

V. Budgeting for rural communication

Budgeting activity involves an objective analysis of activities and goals of communication to determine the allocation of budget to different heads.

VI. Designing the communication mix strategy

Refer to section 10.3 to understand the different tools of communication. Each tool has its pros and cons and this has been discussed in this section.

Advertising

Characteristics:

Public presentation

Pervasiveness

Amplified expressiveness

Impersonality

Sales Promotion

Characteristics:

Communication

Incentive

Invitation

Public Relations and Publicity

Characteristics:

High credibility

Ability to catch buyers off guard

Dramatization

Personal Selling

Characteristics:

Personal confrontation

Cultivation of relationship

Feedback and Response

Direct Marketing

Characteristics:

Nonpublic

Customized

Up-to-date

Interactive

Type of product, buyer readiness stage and product lifecycle stage are important determinants of the decision on marketing communication mix. Referring to the previous example of non-polished daal,it happened to be a new product category, with buyers not aware about the product and the product being in the introduction stage of product life cycle. The communication goal here is to increase awareness and thus the ads have to be educative and informative in format, structure and source. The mix in this case would be different from that of an established and mature product, which the customers are convinced and ready to buy.

VII. Measuring Communication Effectiveness

Every communication exposure comes at a cost and thus its effectiveness should be measured for major decision-making. It is possible to do in a rural context using controlled and uncontrolled situations and areas. It is important to understand the difference between controlled and uncontrolled areas. Controlled areas are geographies and locations where some ground activation has been done by the company over a given period of time. Non-controlled areas are geographies and locations where no ground level activation has been done by the company over a given period of time. The footfall, conversion, sales, brand awareness and word of mouth of the two regions is compared to find out the impact of communication exposures in the area.

Activity 1

Talk to the sales representatives of two FMCG and two consumer durable companies. Discuss with them to understand what communication mix do they use to communicate to rural customers. Is this mix different from the urban communication mix? List five points of differences between the rural and urban communication mix.

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10.5 CHALLENGES IN RURAL COMMUNICATION

1. Huge diversity and geographical spread

   India has 638,000 villages and villages have a different culture, language, customer needs and dialects. There are 22 languages and 114 local dialects. Moreover, there is a huge geographic dispersion as well. It is impossible to put a uniform message across to such a diverse and dispersed audience. It's equally impossible to customize the communication to such a heterogeneous group. We all shall agree that the audience changes in terms of behavior every few miles and thus reaching the rural audience is a challenge.

2. Low literacy and associated comprehension levels

   Rural areas are characterized by low literacy rates and consequently lower comprehension levels of written messages as compared to the urban populace. Besides, the literacy levels also show a lot of disparity. While Kerala has 94% literacy levels, Bihar has only 64%. Thus, a single uniform written message or one that relies on heavy content may be understood by the audience in Kerala, but may not make any sense to thenon literate audience in Bihar. An alternative could be using symbols, pictures, and self-explanatory and simple messages in order to avoid selective distortion in communication, owing to varied education and comprehension levels.

3. Diverse media reach and habits

   Rural media is fragmented in terms of its reach and effectiveness. Indian readership survey data reveals that there is an inequity in the penetration of media across the country and more so in the rural regions. For example, TV ownership is very high in the states of Maharashtra and Goa and too low in Kerala and Rajasthan. Besides, some remote regions in UP, Bihar and Chhattisgarh are media dark as some media have not reached there. Characteristically, these are places with no electricity and thus devoid of TV and radio penetration.

   Looking at the above challenges, a rural marketer should:

   a. Identify and use the most appropriate media that ensures maximum reach and impact amidst the rural audience

   b. Do a region-specific customer profiling to understand the typical product user

   c. Design the most self-explanatory and persuasive communication relatable in a rural context.

Activity 2

Imagine a village where there is very low TV penetration, but high mobile penetration. An FMCG marketer plans to launch its products in that village. Suggest what should the marketer do to spread awareness about its products in that village. Give reasons for your answer.

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10.6 CONVENTIONAL RURAL MEDIA

Rural media can be classified as Conventional and Unconventional.

Conventional Media consists of

MASS MEDIA- Media that reaches masses, that is, millions of people.

Radio

Television

Print

Cinema

OUTDOOR MEDIA- Most widespread form of rural communication.

Wall paintings

Hoardings

PERSONALIZED MEDIA-These are point of purchase communication options.

POP (Point of Purchase)

Demonstrations

Danglers

Display Racks

Tin Plates

Direct Mailers

10.7 RURAL-CENTRIC UNCONVENTIONAL MEDIA

Rural India is typically multi-lingual and multi-cultural and thus mass media communication cannot reach the rural audience. Non-conventional rural centric media fills this gap by offering the flexibility in design and execution.

A few need a special mention:

Video Van/Video Rath

Agri-input companies use Video Van/Video Rath to deliver customized messages through audio video media in any language to the intended audience.

ITC, HUL, Godrej, Dabur, Airtel, Marico, LG, TVS are a few examples of companies using video vans. The van has a huge LCD screen and is stocked with samples of products, publicity material, brochure, pamphlets and moves around the village with the ad and tagline running on the screen. These are branded mobile vans and are effective in reaching the rural audience.

In 2009, Google launched an Internet Bus that went to villages and allowed the villagers to access internet and other popular services like email, social networking apps, maps etc. The rural audience tried internet and realized how easy the life became with its use. The bus served as the experience store as prevalent in the urban areas.

Haats

These are called the mobile supermarkets in rural India. Haats plays a very important role in the life of a rural Indian and is the oldest marketing channel. It is a one stop shopping arena for all needs. There are about 4300 haats in India which are organized on a weekly basis.

Melas

Melas are fairs that are organized seasonally for religious reasons and to celebrate certain festivals specially the harvest related ones.Melas have conglomeration of people and brands can make a strong presence in the melas. Melas provides widespread visibility to brands to the precise target groups.

Mortein makes a huge presence in the local Sonepurmela in Bihar, which lasts for 25 days. The message is to use Mortein to keep malaria and dengue at bay. A skit is organized to put the message across to rural customers. No other idea can match the effectiveness in educating customers about mosquito borne diseases. Likewise, the Nauchandi Mela in Meerut which lasts a month attract a very high footfall from a large number of villages nearby and consumer durables, services like banking and insurance are a big draw.

Mandis

Mandis are an innovative communication platform existing in places like Punjab and Haryana where haat markets do not exist. They are organized during the harvest season when the farmer has money and is in a buying mood. Fertilizers, durables and farm equipment marketers use mandi as an important platform.

Folk Media

It includes the following:

- Folk Theatre
- Songs
- Magic show
- Puppet show
- Folk dance

Activity 3

Visit a village and talk to the villagers and try to understand from them that how did they get information about the following products:

1. Lifebuoy
2. Colgate
3. Seeds
4. Farm equipment
5. Pulse Polio campaign

6. TVs

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10.8 SUMMARY

India has more than 6 lakh villages inhabited by 900,239,774 people living in them as per 2021 statistics. It is an unignorably large market representing life at the 'bottom of the pyramid'. Customers in villages are equally aspirational as their urban counterparts and are willing to pay for the right products and services. However, the region has its own challenges arising out of diversity, culture, geography, lifestyle, low literacy rates and poor access in a few locations. Despite all these challenges, going rural is not a choice any more as the urban markets are saturated and the buying power of the rural market is rising. Companies have understoodthat the rules of game are different in rural markets, especially in a diverse one like India and thus have devised their indigenous and frugal platforms to reach the audience. In marketing communication context, what serves well in urban markets may not work in the rural markets. This entails a different Integrated Marketing Communications (IMC) approach for the rural markets in India using a judicious mix of both conventional and unconventional media. Use of unconventional media depends on the creativity and ingenuity of the marketer. Many companies like ITC, HUL, Godrej, Dabur, LG, Airtel have done a brilliant job in the rural market by building robust distribution and communication channels. This unit expose you to the use and application of IMC for rural audience and the challenges that confront the rural marketers in this regard.

10.9 SELF- ASSESSMENT QUESTIONS

1. Develop a communication mix for promoting pulse polio campaign in rural India.
2. Explain the steps involved in designing a communication message. Add examples from a rural context in support of your answer.
3. Enumerate the characteristics of rural markets and the challenges that they pose in designing a communication for rural the audience.
4. Examine and discuss various media vehicles of conventional mass media and rural centric media?
5. Rural audience needs distinct advertisements. Do you agree with the statement? Give reasons for your answer.

10.10 FURTHER READINGS

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UNIT 11 CASE STUDY

STEERING MARKET GROWTH THROUGH RURAL MARKETS- A CASE STUDY OF MARUTI SUZUKI

Learning Outcomes

After going through and analyzing this case study, you should be able to

- discuss the phases in the growth of Maruti Suzuki and its Rural initiative
- identify the need and rationale for the company to make a bid for the rural market
- comment upon the segmentation strategy used by Maruti for the Rural markets
- critically comment upon the promotion strategy as well as the distribution processes followed by the company
- evaluate the success of the company's rural initiative

Structure

11.1 INTRODUCTION

The company, initially known as Maruti Udyog Limited, was incorporated as a joint venture between the Government of India and Suzuki Motor Corporation, Japan, in February 1981. It was later renamed Maruti Suzuki (India) Limited. Presently, Suzuki Motor Corporation owns equity worth 56.2%. The company's shares are traded on the National Stock Exchange (NSE) and the Bombay Stock Exchange (BSE).

Maruti Suzuki Limited is India's largest passenger car maker, with over 41% of the four-wheeler market share in the country. Maruti Suzuki is credited with having ushered in the automobile revolution in the country. The company is engaged in the business of manufacturing and selling passenger vehicles in India. Making a small beginning with the iconic Maruti 800 car, Maruti Suzuki today has a vast portfolio of 16 car models with over 150 variants. Maruti Suzuki's product range extends from entry-level small cars like the Alto 800 and Alto K10 to the luxury sedan Ciaz. Other activities include facilitation of pre-owned car sales, fleet management, and car financing. The company has manufacturing facilities in Gurgaon and Manesar in Haryana and a state-of-the-art R&D centre in Rohtak, Haryana.

Starting its commercial rollout in 1982 onwards, the company, on the strength of Japanese design, penetration pricing, a fast-growing dealer network, and the consistent offering of new variants over the years, rose to dominate the Indian automobile market and attained a market share of a little above 51.23 percent by 2018-19.

As the Indian economy liberalized and enabled a number of international manufacturers to set up manufacturing in India, competition intensified in both the economy and the midsize segment by the early 21st century, though Martut's dominance continued. As per November 2022 data, Maruti now commands a 41.30% share in the Indian automobile market. You can get a better perspective of the situation when you realize that the second-highest car manufacturer in India has less than half of Maruti's market share.

11.2 RURAL MARKET INITIATIVES

Around 2009-2010, following the consolidation of its position in the urban and semi-urban markets, Maruti Suzuki India decided to make a determined foray into the Indian rural market and launched a pan-India campaign, '**Mera Sapna Meri Maruti."** This decision was partly based on the realization that in the past year, 10% of the company's sales had emanated from its six-month pilot project in rural markets, and partly on the intention to explore new market segments, relatively uncluttered by competition, for the next growth spurt. In the words of the then-MSI executive officer (sales and marketing), Mayank Pareek, "The signs of economic development are becoming more visible in rural India. We have a strong brand value there, and a vast chunk of prospective car buyers prefer Maruti products.' With tremendous growth in rural infrastructure, the foray into the hinterland looked like a promising direction worth serious marketing effort.

Several initiatives were planned and implemented in a coordinated fashion to embed the company's offerings in the awareness and preference set of rural consumers.

To increase finance penetration for rural customers and offer flexible loans linked to the harvesting season, Maruti tied up with a large number of regional rural banks as its partners. It also set up with bigger finance companies like Magma Shrachi Finance, Shriram Finance, the State Bank of India, and M&M Finance Services, which specialized in rural financing. Almost immediately, its competitor, Hyundai Motors, also launched a promotional scheme, "Ghar Ghar Ki Pehchan," for panchayat functionaries and government employees. Other players like Mahindra and Mahindra also joined the fray in order to benefit from the growing rural economy.

The systematic move to the rural markets was carefully planned, with smartly designed promotional and distribution outreach based on a keen understanding of the rural economy and the rural consumer. As Pareek said in 2008, "we realized that while the world struggled to cope with recession in 2008, a large chunk of the rural economy remained relatively unscathed. Parshu Narayan, creative head and managing partner of Publicis Capital, the agency that designed the initial rural ad film for Maruti, observed that, today (i.e., 2008), the rural consumer is much younger, far more exposed, and is increasingly getting more affluent in his dreams and aspirations; he's no different from his urban counterparts."

The initial pitch was kicked off with a road show and a film screening inside a truck fitted with a large Samsung LED television, a split AC system, and pushback chairs. The short film told the simple story of an average villager, who is shown to be persuaded by the communicative skills of his Wagon R-owning friend and ends up buying the vehicle himself. The film was based on a simple plot, showing average villagers and everyday names like Hari Prasad, Bimla, Jugal, and Dinkar Ji, also known as Chacha. It functioned as an effective slice of life representation for most villagers, who could easily identify with it. The film was able to take care of the villagers' aspirations, both on an emotional and a functional plane, as per Narayan.

Understanding that the villagers by that time were quite exposed to electronic media and aware of the different automobile options available to their city counterparts, Maruti used the whole gamut of audience engagement tools and customized a few based on the preferences of the target segment. In some given rural segment, for example, Kamal Kumar, a young mimic, was used to manage the show inside the video truck. His task was to keep the audience enthralled by doing an inspired imitation of silver screen celebrities like Amitabh Bachchan, Nana Patekar, Shatrughan Sinha, Utpal Dutt, and Amrish Puri, and then host a quiz based on the film just screened. The winners took home prizes like caps, pens, and wall clocks, all emblazoned with the Maruti logo!

The company also worked hard at winning over local leaders and opinion makers such as the sarpanches, schoolteachers, and other important community and government workers. Hundreds of Sarpanches from across the country were taken for a factory visit and explained how the car was actually assembled, and many of them were enthused enough to book a car. The company, taking a cue from this behavior pattern, was quick to organize fairs in villages, the first of them in villages off Saurashtra. The Sarpanches who had booked their cars drove off in their own vehicles, but the larger outcome of the event was that a buzz was created, and the ensuing discussion among the villagers enabled Maruti to gather valuable insights into the mindset of the rural consumers regarding automobile purchase. Excited at the opportunity to see the vehicles up close at the fair in their own village, one of the villagers exclaimed, "Aapke sheher mein log tie pehen kar rahte hain, aur hum unse baat nahin kar paate, kuch pooch nahin paate."

Acting on such feedback, Maruti created teams of resident dealer sales executives (RDSEs), 6,000 to begin with, who formed the main fulcrum of the rural sales and distribution drive. These were all local residents in a given village area, all sons of the soil who were equipped with detailed information about the respective villages they operated in and were well versed in the local language, culture, and social nuances. The information shared with them was as comprehensive as the detailed financial profiles of the villagers, their ownership of durables and two-wheelers, their respective business profiles or job information, and even details of their land ownership. Such mapping and working in close sync with the Maruti Rural Marketing teams helped the RDSEs target potential customers across the 3853 tehsils and talukas across the country at that time, helping to shape the niche segmented marketing strategy being carved out for the rural marketing segment by the company. As Prateek explained, "we realized that 60% of the sales were made to people who were not directly in farming but those who supported the rural economy." These included school teachers, shop owners, government employees, contractors, and business people operating in rural areas. Opportunities were identified by slicing the markets into thinner slivers of people with paying capacity and the need for economical transport: the orange growers near Nagpur, the blue pottery makers near Jaipur, the apple and fruit growers in Himachal, and the granite polishers of Hyderabad, to name a few of the identified niches.

Maruti managed to get an eight-fold growth in the rural segment, increasing from 3.5 percent of total sales five years ago to 26 percent in 2012. The major steps that can be traced back to this massive spurt, which continues as a growth trend till date, have been attributed to the following early initiatives:

- 6,000 local villagers were nominated as resident dealer sales executives of Maruti Suzuki to promote the products. They were supported by over 186 extension counters.
- Maruti Suzuki influenced the opinion leaders of the village (like Sarpanch) by taking them for factory visits, conducting detailed profiling, their consumption patterns and their choices
- The automaker aggressively marketed the brand at rural sporting events to sales fairs (*Grameen Mahotsavs*) to SMS campaigns for Gram Panchayat Members
- Maruti Suzuki started *Video on Wheels* campaign shared above, resulting in a buzz creation

The targeted promotional effort, coupled with the RDSE team's penetration, seemed to pay off, with the niche segmentation yielding good results. By 2012–2013, niche markets started accounting for sales of about 5000 units every month. Around 2% of the 100,000 cars that made up the company's rural sales came from villages with a population of less than 200 households, the type of niche segment that their competitors seemed to have missed out on. To take an example, two such villages in Madhya Pradesh, Jeerwah (187 households) in Hoshangabad and Badiya Tula (97 households), where the company was able to make inroads, fell below the radar of their competitors at that time, giving the company a clear arena to enter and get entrenched.

Developing deep insights into the behavior of the rural consumers, the company realized that selling cars to these consumers is not only a matter of persuading them and gaining their trust for the first acquisition; it is a matter of staying invested in them and keeping a finger on their changing aspirations while maintaining the trust relationship. While Maruti is also able to present the best price proposition for these consumers, its large number of variants in different car categories offer the villagers sufficient choice within the price bands that are comfortable for them.

Some of the initial efforts that made the company a great talking point advantage, for example, the video van, have lately come in for some criticism as analysts feel that with high penetration of internet and smart phones, the villagers are not so starved of audio-visual entertainment that the video vans will continue to be a big draw in most villages except the very remote and unconnected ones, especially since as a promotional tool it has very high operating costs. There is, however, no doubt that the early planned foray into relatively uncharted rural territory has enabled Maruti to get a stronghold in this potentially promising segment.

Speaking to the Hindu in 2021, Shashank Srivastava, Senior Executive Director (Marketing and Sales), Maruti Suzuki India, shared, "The company has till now sold cars in about 4.40 lakh villages out of the over 6.40 lakh villages in the country," and, "For us, the rural markets did better than urban last year." "Rural markets have now been outperforming urban markets since 2007, when we started monitoring the sales separately, except for a couple of years," Mr Srivastava said.

"If you take the last three years, the urban growth has been negative; otherwise, both markets have been growing, with rural growing at a faster pace, and this trend will continue largely because of factors such as rising rural income, an increased pace of motorization... “Monsoons have also been good in the past couple of years,” he said.

He added that up until 2015, the company had covered only about 1.9 lakh villages and had aggressively worked towards increasing this number to over 4.40 lakh villages now. “That is the true rural story: how motorization in rural areas is increasing, but we are not taking delight in the fact that we have covered so many villages but are looking at why we have not covered the rest of the villages,” he said.

As shared above, a large part of this is on account of moving the distribution setup closer to the villages and customizing it to the rural target segments. Mr. Shrivastav shared, “We have increased our rural manpower, or RDSE, from about 11,000 people in 2015-16 to more than 17,000 today. Because you can’t have outlets in every village, RDSEs are one way of increasing the penetration in rural areas,” he said, adding that the overall outlet network in rural areas has also been increased from 1,220 outlets in 2015–2016 to about 1,900 outlets today.

The company achieved the milestone of 5 million cars sold in the rural market in July 2021.

If we look at the buying preferences According to purchasing trends, entry-level hatchbacks are more popular in rural areas than in cities.While such hatchbacks account for 11% of urban sales, in rural areas this number is 21%. In 2021–22, the company saw strong demand for models such as the Alto 800 (92,000 units), Swift (82,000 units), WagonR (77,000 units), Dzire (59,000 units), and Eeco (58,000 units) in rural areas.

Starting from a mere 3.2% share in the company’s sales in 2002, the rural market share rose to a massive 43.6% share in 21-22, up from 40.9% in the previous year, driven by the rural demand for its hatchback models. Rural sales account for 44.2 percent of the overall numbers this financial year through February 2023.

11.3 ROAD AHEAD

Looking into the future, Maruti plans to deepen its penetration into the rural markets, reaching out to terrains still unreached. In addition, the company wishes to expand its presence in the SUV market in the Indian market as a whole. As per Mr. Shrivastav, “in the non-SUV segment, the company’s market share is around 67%, but the lower number of products in the fast-growing SUV segment has impacted its overall market share. “Overall, our market share in the SUV vertical is just 12%. This is where we are now making efforts to bolster our presence.” It is hoped that the rural market will contribute to the midsize SUV sales curve, given the rapid expansion of the road network in years to come.

11.4 SELF-ASSESSMENT QUESTIONS

1. Critically analyze the rural market penetration initiatives used by Maruti Suzuki.
2. Going forward, and based on your understanding of the rural economic and sociocultural environment as well as the rural consumer behavior studied by you in this course, how do you think the company should adapt its promotional strategy?

3. Initiatives like RDSEs were critical to the company at the time of formally initiating the rural rollout and are still a big factor in helping the company with its rural penetration. Critically evaluate this distribution approach and suggest how you would improve upon it.
4. Going forward, what future steps would you suggest to the company in terms of
5. product offering to the rural markets
6. Promotion strategy, including digital media
7. What advice would you have for the company if the growth story of its rural segment is to continue so as to equal the urban share of its sales? Suggest giving justification for your ideas.

11.5 FURTHER READINGS

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